

Chapter – 7
Short Term Investment

Sr. No	Chapter outline - Topics
114	114-Short Term Investment - Equity and Debt Instrument
115	115-Measurement Of Investment - Equity Instrument
116	116-Measurement Of Investment - Equity Instrument Practice

Topic Videos 114-116 are mandatory part of this chapter

Topic 114 – Short Term Investment in Equity or Debt Instruments

Investment in Instruments

- a) Equity Instruments
- b) Debt Instruments

Investment in Equity Instruments (short-term)

Each financial asset is initially measure at its fair value.

In normal circumstances, transaction price is the fair value.

Transaction cost, if any, is recognised as expense in SOPL.

Topic 115 – Measurement of Investment in Equity Instruments

Investment in Equity Instruments

- a) Initial measurement at fair value
- b) Subsequent measurement at fair value through profit or loss

Accounting Entries

At the time of recognition / initial measurement

Investment in Equity Instrument	Dr.	5,000	
Cash/Bank	Cr.		5,000

Remeasurement at reporting date (increase in fair value Rs. 6,000)

Investment in Equity Instrument	Dr.	1,000	
Statement of Profit or Loss	Cr.		1,000

Remeasurement at reporting date (decrease in fair value Rs. 5,400)

Statement of Profit or Loss	Dr.	600	
Investment in Equity Instrument	Cr.		600

Dividend Income

Dividend **received during the reporting period** is recognised as income for the year that appears in SOPL

Topic – 116 Measurement of Investment in Equity Instruments – Practice

Sample Co. made an investment of Rs. 400,000 in equity shares of Symbol Ltd. on 1st October 2020. Transaction cost incurred as broker's fee Rs. 20,000.

On the reporting date, 31st December 2020, the fair value of these shares was Rs. 350,000.

Accounting Entries

1st October 2020 – Purchase of Investment in Equity Shares

Investment in Symbol Ltd.	Dr.	400,000	
Cash/Bank	Cr.		400,000

1st October 2020 – Transaction cost

Statement of Profit or Loss	Dr.	20,000	
Cash/Bank	Cr.		20,000

31st December 2020 – Remeasurement at Rs. 350,000

Statement of Profit or Loss	Dr.	50,000	
Investment in Equity Instrument	Cr.		50,000

It's a simple concept

- Increase in fair value causes a gain (SOPL – Cr.)
- Decrease in fair value causes a loss (SOPL – Dr.)

Chapter – 8

Accounting for fixed Assets

Sr. No	Chapter outline - Topics
117	Accounting for fixed Assets
118	Accounting for fixed Assets revaluation model
119	Revaluation of Land - Practice
120	Revaluation of depreciable assets - Practice
121	Excess depreciation against revalued assets Practice
122	Disposal of revalued assets - Practice
123	Depreciation important points
124	Fixed Assets - Other important concerns
125	Accounting For Fixed Assets - Disclosure Requirements IAS 16
126	Accounting For Fixed Assets - Fixed Assets Schedule

Topic Videos 117-126 are mandatory part of this chapter

Topic 117 – Accounting for Non-Current Assets – Tangible Fixed Assets – (Recap)

Asset

- Non-Current Assets
 - Property Plant & Equipment
 - Investment Property
 - Intangible Assets
 - Long Term Investments
 - Current Assets
 - Inventory
 - Trade Receivable
 - Cash Balances

Fixed Asset

- Property Plant & Equipment are the Fixed Tangible Asset.
- These are subject to Depreciation charge.

Accumulated Depreciation

- Also is known as Provision for Depreciation.
- Always presented as a deduction from relevant fixed asset.
- It is a contra to fixed asset in nature.

Measurement

- Initial measurement at Cost
- Subsequent measurement
 - Cost Model
 - Revaluation Model

Cost Model

Carrying Amount of Fixed Asset is measure at each reporting period as below:

- Historical cost of asset
- Less accumulated depreciation
- Less accumulated impairment loss

Revaluation Model

Fixed Assets are measured at:

- Fair Value
- Less accumulated depreciation (subsequent to revaluation)
- Less accumulated impairment loss (subsequent to revaluation)

Topic 118 – Accounting for Fixed Assets – Revaluation Model

Measurement

- Initial measurement at Cost
- Subsequent measurement
 - Cost Model
 - Revaluation Model

Revaluation

Entire class of asset is revalued at fair value

Class of Assets

A company might have a policy to value all its motor vehicles at cost, but to apply the revaluation model to all its land and buildings.

Fair Value

The price that would be received to sell an asset in an orderly transaction between market participants at the measurement date.

Accounting Issues

1. Accounting treatment for the gain or loss resulting from revaluation
2. Adjustment of accumulated depreciation and cost of asset at the date of revaluation
3. Frequency of revaluation
4. Treatment of Revaluation Surplus

Accounting for Revaluation of Fixed Assets

Step 1 – Calculate depreciation of the asset till the date of revaluation and transfer accumulated depreciation account to the asset account

Accumulated Depreciation	Dr.	x,xxx
Fixed Asset	Cr.	x,xxx

Step 2 – Adjust the net carrying amount of the asset to its fair value that will result into a gain or loss on revaluation

Step 3 – Recognise; revaluation gain as a Reserve in Equity and; revaluation loss as an Expense in SOPL (if it is first time / initial revaluation)

Accounting treatment for subsequent revaluation gain

Recognise upward revaluation as income in SOPL to the extent of the amount of any previous revaluation loss, any excess should be credited to equity as revaluation surplus.

Accounting treatment for subsequent revaluation loss

Recognise downward revaluation as Debit in revaluation surplus to the extent of the amount of any previous revaluation gain, any excess should be debited to SOPL as expense.

Topic 119 – Revaluation of Land – Practice

Sample Co. purchased land for Rs. 100 million on the 1st January 2020.
Sample Co. applies revaluation model for measurement of land after initial recognition.
The land was revalued to its fair value Rs.130 million on 31st December 2020.

Accounting Entries

		(Rs. in million)
<u>1st Jan 2020 on purchase of land (Initial measurement)</u>		
Land	Dr.	100
Cash/Bank	Cr.	100
<u>31st Dec 2020 (Subsequent measurement) on reporting date</u>		
Land	Dr.	30
Revaluation surplus	Cr.	30

Continue with the previous scenario.
On 31st December 2021, the fair value of land was determined at Rs. 95 million.

Accounting Entries

		(Rs. in million)
<u>31st Dec 2021 Subsequent measurement on reporting date</u>		
Revaluation surplus	Dr.	30
Statement of Profit or Loss	Dr.	5
Land	Cr.	35

Land is the asset that is not depreciated because of its indefinite useful life.

Topic 120 – Revaluation of Depreciable Asset – Practice

Sample Co. purchased machine for Rs. 100 million on the 1st January 2020, that is to be depreciated at 10% using straight line method. Assume nil residual value.

The machine was revalued at Rs. 120 million on 31st December 2021.

Accounting for Revaluation of Fixed Assets

Step 1 – Calculate depreciation of the asset till the date of revaluation and transfer accumulated depreciation account to the asset account

Accumulated Depreciation	Dr.	x,xxx	
Fixed Asset	Cr.	x,xxx	

Step 2 – Adjust the net carrying amount of the asset to its fair value that will result into a gain or loss on revaluation

Step 3 – Recognise; revaluation gain as a Reserve in Equity and; revaluation loss as an Expense in SOPL (if it is first time / initial revaluation)

Accounting Treatment

(Rs. in million)

Step 1 – Calculate depreciation till the date of revaluation & transfer to asset account: Cost Rs. 100 (m) x 10% x 2 years = 20 (m)

Accumulated Depreciation	Dr.	20	
Machine Asset	Cr.		20

Step 2 – Adjustment of carrying amount of machine to its fair value:

NBV = Rs. 80 (m), Fair value = Rs. 120 (m) ----- Gain Rs. 40 (m)

Step 3 – Recognise revaluation surplus for the gain

Machine Asset	Dr.	40	
Revaluation Surplus	Cr.		40

Topic 121 – Excess Depreciation against Revalued Asset – Practice

Sample Co. purchased machine for Rs. 100 million on the 1st January 2020, that is to be depreciated at 10% using straight line method. Assume nil residual value.

The machine was revalued at Rs. 120 million on 31st December 2021.

Sample Co. estimated that there is no change in the remaining useful life of the revalued machine.

On 31st December 2022, it was found that the carrying amount of the asset was not materially different from its fair value.

Accounting Treatment

(Rs. in million)			
On 31 st December, Calculate depreciation for the year 2022.			
Revalued amount Rs. 120 (m) / 8 years = 15 (m)			
Depreciation expense	Dr.	15	
Accumulated Depreciation	Cr.		15
On 31 st December 2022, excess depreciation because of revaluation			
Rs. 15 (m) – Rs. 10 (m) = Rs. 5 (m)			
Revaluation Surplus	Dr.	5	
Retained Profits	Cr.		5
Revaluation surplus 40 – Excess depreciation 5 = Balance 35 (m)			

Excess Depreciation

The depreciation charge had the asset not been revalued is subtracted from the depreciation of revalued asset to calculate excess depreciation that is transferred to retained profits, considering realised.

Topic 122 – Disposal of Revalued Asset – Practice

Sample Co. purchased machine for Rs. 100 million on the 1st January 2020, that is to be depreciated at 10% using straight line method. Assume nil residual value.

The machine was revalued at Rs. 120 million on 31st December 2021.

Sample Co. estimated that there is no change in the remaining useful life of the revalued machine.

On 31st December 2022, it was found that the carrying amount of the asset was not materially different from its fair value.

Sample Co. disposed of the revalued machine on 31st December 2023 for Rs. 50m.

Accounting Treatment

(Rs. in million)

On 31st December, Calculate depreciation for the year 2023.

Revalued amount Rs. 105 (m) / 7 years = 15 (m)

Depreciation expense	Dr.	15	
Accumulated Depreciation	Cr.		15

On 31st December 2023, excess depreciation because of revaluation

Rs. 15 (m) – Rs. 10 (m) = Rs. 5 (m)

Revaluation Surplus	Dr.	5	
Retained Profits	Cr.		5

Accounting Treatment

(Rs. in million)

On 31st December 2023, Disposal of Machine.

Balances: Machine Rs.120(m), Accumulated Depreciation Rs. 30(m)

Accumulated Depreciation	Dr.	30	
Cash/Bank	Dr.	50	
Loss on disposal of machine	Dr.	40	
Machine Asset	Cr.		120

On 31st December 2023, transfer balance of revaluation to the RP

Rs. 40 (m) – Rs. 5 (m) = Rs. 35 (m)

Revaluation Surplus	Dr.	35	
Retained Profits	Cr.		35

Treatment of Revaluation Surplus

Revaluation surplus of the same asset that has been disposed of is transferred to retained profits.

Topic 123 – Accounting for Fixed Assets Depreciation – Important Points

- The depreciable amount is allocated on a systematic basis over the asset's useful life
- The residual value, the useful life and the depreciation method of an asset are reviewed annually at reporting date
- Changes in residual value, depreciation method and useful life are changes in estimates are accounted for prospectively in accordance with *IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors*
- Depreciation is charged to profit or loss, unless it is included in the carrying amount of another asset
- Depreciation commences when the asset is available for use.
- Revenue based depreciation is prohibited.
- Depreciation method reflects the pattern in which future economic benefits are expected to be consumed.

Topic 124 – Accounting for Fixed Assets – Other Important Concerns

Component accounting

- Significant parts or components are required to be depreciated separately over their estimated useful life.
- Costs of replacing components are required to be capitalized.

Spare Parts, Stand-by or Servicing Equipment

These are classified as items of PPE (fixed assets) when they meet the definition of being PPE, and are classified as inventory when definition of being PPE is not met.

Disposals

- Remove the asset from the statement of financial position on disposal
- The gain or loss on disposal is recognized in profit or loss
- When a revalued asset is disposed of, any revaluation surplus may be transferred directly to retained earnings.

Topic 125 – Accounting for Fixed Assets – Disclosure Requirements

Disclosures include but are not limited to:

- Measurement bases for determining the gross carrying amount
- Depreciation methods
- Useful lives or the depreciation rates used
- Gross carrying amount and the accumulated depreciation at the beginning and end of reporting period

A reconciliation of the carrying amount at the beginning and end of the period showing:

- Additions
- Assets classified as held for sale
- Other disposals
- Acquisitions through business combinations
- Changes resulting from revaluations
- Impairment losses recognized and reversed in profit or loss
- Depreciation
- Exchange differences
- Other changes.

Disclosures

- Significant accounting policies
- Working notes

Topic 126 – Accounting for Fixed Assets – Accounting Policies and Fixed Assets Schedule

Sample Co. Financial Statements For the year ended December 31, 20XX	
Summary of significant accounting policies	
2.5 Property, plant and equipment	
All property, plant and equipment assets are stated at cost less accumulated depreciation.	IAS 16 p30
Depreciation of property, plant and equipment is provided to write off the cost, less residual value, on a straight-line basis over the estimated useful life:	IAS 16 p73
• Buildings—50 years • Computer equipment—3 years • Motor vehicles—5 years.	
Residual values, remaining useful lives and depreciation methods are reviewed annually and adjusted if appropriate.	IAS 16 p51
Gains or losses on disposal are included in profit or loss.	IAS 16 p68

Fixed Assets Schedule

It is a comprehensive note that covers all the needful disclosure and reconciliations required by **IAS 16**

<u>Date</u>	<u>Gross cost</u>	<u>Accumulated depreciation</u>	<u>Net carrying amount</u>
Opening Bal	Rs.4,500,000	2,000,000	2,500,000
Acquisitions	3,000,000	—	3,000,000
Disposals	(€400,000)	(340,000)	(60,000)
Impairment		600,000	(600,000)
Depreciation	—	<u>200,000</u>	<u>(200,000)</u>
Closing Bal	<u>7,100,000</u>	<u>2,460,000</u>	<u>4,640,000</u>

Fixed Assets Accounting

IAS 16 – Property Plant and Equipment provides detailed guideline for Recognition, Measurement, Presentation and Disclosure of Tangible Fixed Assets.

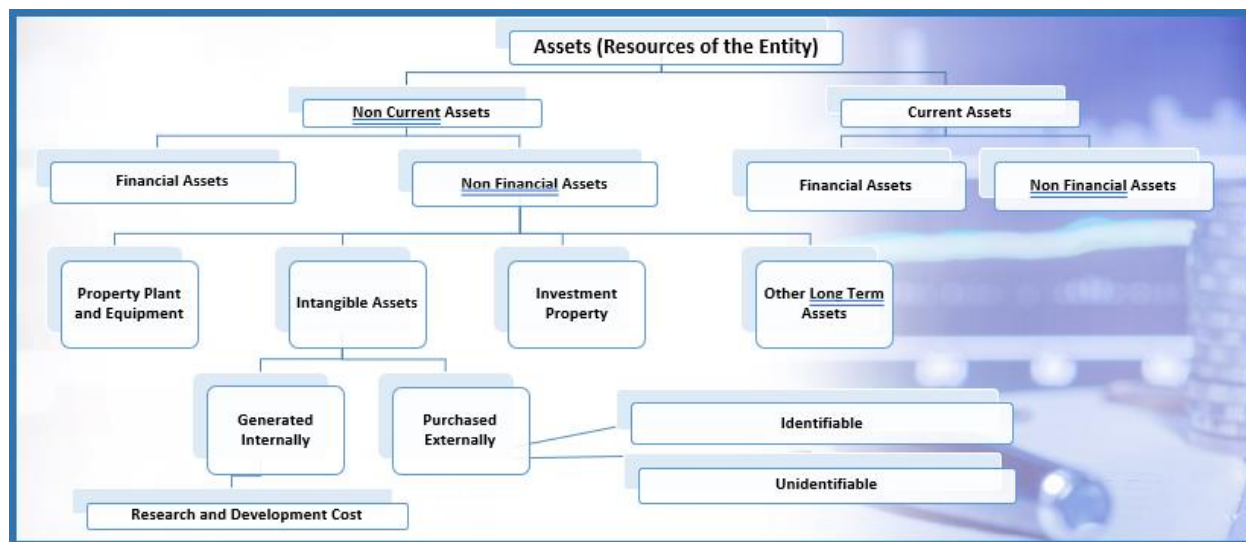
Chapter – 9

Accounting For Non-Current Assets

Sr. No	Chapter outline - Topics
127	Accounting For Non-Current Assets - Intangible Assets
128	Intangible Assets - Recognition
129	Intangible Assets - Measurement
130	Cost Of intangible Assets - Practice
131	Internally Generated Intangible Assets
132	Internally Generated Intangible Assets - Research Phase
133	Internally Generated Intangible Assets - Development Phase
134	Research And Development Cost - Practice
135	Development Cost Practice
136	Amortization Of Intangible Assets
137	Amortization Of Intangible Assets - Practice
138	Intangible Assets - Indefinite Useful Life
139	Intangible Assets - Review Of Useful Life

Topic Videos 127-139 are mandatory part of this chapter

Topic 127 – Accounting for Non-Current Assets – Intangible Fixed Assets (Recap)



Non-Financial Asset

Non-current non-financial assets are classified into two basic types:

1. Tangible and
2. Intangible

Intangible Asset

Identifiable non-monetary assets without physical substance

Identifiable

It is separable; means it can be sold, transferred, licensed, rented or exchanged, either individually or together with a related contract, asset or liability

Monetary Assets

These are money held and include all the assets that will be received in fixed or determinable amounts of money.

No Physical Substance

Tangible assets have physical substance, while intangible assets either have no physical substance, or have a value that is not conveyed by what physical substance they do have.

For example, the value of gaming software is not reasonably measured by the cost of the DVDs on which these are contained.

Topic 128 – Intangible Assets Recognition Criteria

Recognition

Identifiable intangible assets have much in common with tangible long-lived assets (fixed assets). Recognition depends on whether the *Framework* definition of an asset is satisfied.

Recognition Criteria

1. Separately identifiable;
2. Controlled by the entity as a result of its past actions and events;
3. Flow of future economic benefits to the entity; and
4. Reliable measurement of cost.

Control

Control implies the power to both obtain future economic benefits from the asset as well as restrict others' access to those benefits.

Future Economic Benefits

The future economic benefits may take the form of revenue from the sale of products or services, cost savings resulting from the use of the intangible asset by the entity.

Topic 129 – Intangible Assets Measurement at Initial Recognition

Measurement at Cost

Cost of an intangible asset is categorised in three levels:

1. Acquired separately
2. Acquired as a part of business combination
3. Developed based on research

Acquired Separately

Cost of an intangible asset acquired separately is determined in a manner largely similar to that for tangible fixed assets.

Cost Components

1. Purchase price, including legal and brokerage fees, import duties and non-refundable purchase taxes, after deducting trade discounts and rebates; and
2. Any directly attributable costs incurred to prepare the asset for its intended use.

Acquired as part of Business Combination

Its cost is fair value as at the date of acquisition.

Developed based on Research

When an internally generated intangible asset meets the recognition criteria, the cost is determined using the same principles as for an acquired tangible asset.

Topic 130 – Cost of Intangible Asset – Practice

Scenario I

Sample Co. is a newly established telecom company. It purchased List of customers from a supplier, who developed it over the years, for Rs. 100 million on the 1st January 2020.

Should Sample Co. capitalise it as intangible asset.

Conclusion

No!

Sample Co. should not recognize intangible asset for the purchase of such list of customer, as the cost of list cannot be distinguished from the cost of developing the business as a whole.

Scenario II

Sample Co. acquired a competitor, which also has a large customer list with complete information such as name, address, contacts and average purchase amount. The customer list has a value and could be sold it to third parties.

Should Sample Co. capitalise it as intangible asset.

Conclusion

Yes!

Sample Co. should recognize the customer list acquired in acquisition of competitor as an intangible asset. The possibility to sell the list or to exchange it, provides evidence that it is separately identifiable asset.

Topic 131 – Internally Generated Intangible Asset

These are the intangible assets that are created by the entity over the period of time; like brand name or trade mark etc.

Measurement of the cost of internally generated intangible asset is affected by the fact that many of the costs have already been expensed by the time the entity is able to determine that an asset has indeed been created.

For example; at the point the brand is determined to be an asset, all the costs of creating it have already been expensed, and no past expense is allowed to be recognised as asset.

Expenditures relating to the creation of intangible assets are to be classified into two:

1. Research phase
2. Development phase

Research phase

Costs incurred in the *research* phase are expensed immediately;

Development phase

Costs incurred in the *development* phase are capitalised, provided they meet the recognition criteria for an intangible asset.

Topic 132 – Internally Generated Intangible Asset Research Phase

The terms 'research phase' and 'development phase' have a broader meaning for the purpose of recognising intangible assets.

If an entity cannot distinguish the research phase from the development phase of an internally generated intangible asset, then the entity treats the expenditure as if it were incurred in the research phase only.

In the research phase of a project an entity cannot demonstrate that an intangible asset exists, which will generate probable future economic benefits. Therefore, this expenditure is always recognized as an expense when it is incurred.

Examples of research activities:

- a) Activities aimed at obtaining new knowledge;
- b) The search for alternatives for materials, devices, products, processes, systems or services; etc.

Topic 133 – Internally Generated Intangible Asset Development Phase

Development is the application of research findings or other knowledge to a plan or design for the production of new or substantially improved materials, devices, products, processes, systems or services before the start of commercial production or use.

Criteria to Capitalise Development Cost

Where an entity can demonstrate all of the following:

- a) Technical feasibility of completing the intangible asset;
- b) Intention to complete the intangible asset and use or sell it;
- c) Ability to use or sell the intangible asset;
- d) How the intangible asset will generate probable future economic benefits (existence of a market for intangible asset or its product or, its internal usefulness;
- e) Availability of adequate technical, financial and other resources; and
- f) Ability to reliably measure the attributable expenditure during its development.

Examples:

- a) The design, construction and testing of prototypes;
- b) The design of tools, jigs, molds and dies;
- c) The design, construction and testing of a chosen alternative for new or improved materials, devices, products, processes, systems or services.

Topic 134 – Research and Development Cost – Practice

Distinguish as to which of the following costs would be capitalized.

- a) Expenditure on research of new improved material costing Rs. 10,000.
 - b) Expenditure on applied research amounting Rs. 1,000,000.
 - c) Donation to a research foundation amounting Rs. 500,000.
 - d) Expenses of Rs.200,000 on a project which has the technical feasibility to be completed; the management intends to complete the project; future economic benefits will be derived; company has adequate technical and financial resources to complete the project.
 - e) Expenditure on a project amounting Rs. 500,000. Later on it was discovered that this project is not technically possible to continue.
 - f) Expenditures on construction of prototypes amounting Rs. 700,000.
-
- 1. Research cost to be expensed
 - 2. Development cost to be capitalised based if criteria is met

Topic 135 – Development Cost – Practice

Question

Sample Co. incurred following expenses on design, construction and testing of pre-production prototypes.

Cost of materials	Rs.100,000
Depreciation of machinery (exclusively used for prototypes)	Rs. 7,000
Wages paid to employees engaged in that process	Rs. 54,000
Direct expenses	Rs. 39,000
Administrative expenses	Rs. 28,000

Calculate the cost of the intangible asset generated by the company.

Answer

Cost to be capitalised as intangible asset

Cost of materials	Rs.100,000
Depreciation of machinery (exclusively used for prototypes)	Rs. 7,000
Wages paid to employees engaged in that process	Rs. 54,000
Direct expenses	<u>Rs. 39,000</u>
Total cost of prototype – Intangible asset	<u>Rs. 200,000</u>

Scenario

Sample Co. is conducting an overhaul of the financial reporting systems. Sample Co. has purchased several software to customize and integrate them for its own use.

The customization will take 18 months to complete at a cost of Rs. 500,000 by using internal and external resources.

Conclusion

Sample Co. may capitalize the customized software as an internally generated intangible asset, provided:

1. it has the resources to complete the project;
2. the software will be used in operating the business; and
3. it is probable the system will generate future economic benefits.

Conclusion

The costs that may be capitalised are those directly attributable to the project and incremental to the entity as a result of undertaking the project.

Conclusion

These would usually include:

- Materials and services used in customizing the software;
- The staff salaries engaged on the project;
- Other expenditure such as license fees directly attributable to acquiring the software; and
- Overheads

Topic 136 – Intangible Assets Amortization

Amortization of Development Cost begins when the amortization pattern starts reflecting economic benefit derived from the project/product developed.

Amortization of Intangible Assets with Finite Useful Life These must be amortised over that useful life, which should not exceed the period of legal rights, unless the legal rights are renewable, and the renewal is a virtual certainty.

Amortization of Intangible Assets with Indefinite Life

These are not amortised rather impairment test is conducted on each reporting period.

Amortization Method

- Method should reflect the pattern of economic benefits.
- Method should reflect the expected pattern of the consumption of expected future economic benefits.
- IAS 38 permits straight-line, diminishing balance, and units of production methods.

Start of Amortization

- Amortisation should commence when the asset is available for use
- Amortisation charge for each period should be recognised as an expense unless it is included in the carrying amount of another asset (e.g., inventory).

Topic 137 – Intangible Assets Amortization – Practice

Question

Sample Co. acquired copy rights at Rs. 100,000 to be used for 10 years.

Calculate the amortization expense to be charged in each year. The pattern of consuming economic benefits cannot be estimated.

Solution

Cost	Rs. 100,000
Useful Life	10 years.
Amortization	Rs. 10,000
	Per annum

Question

Sample Co. acquired a production formula for Rs. 3 million. Benefits associated to the formula will expire in 5 years' time.

Expected total production is 150,000 units as below:

Year	Benefit
------	---------

1	50,000 units
2	40,000 units
3	30,000 units
4	20,000 units
5	10,000 units

Solution

Amortization expense

Year		Rs.000
1	= 3million x 50/150	1,000
2	= 3million x 40/150	800
3	= 3million x 30/150	600
4	= 3million x 20/150	400
5	= 3million x 10/150	200

Topic 138 – Intangible Assets Indefinite Useful Life

An intangible asset with an indefinite useful life shall not be amortised.

Scenario

Sample Co. acquired a trademark that has remaining legal life of five years but is renewable every 10 years at little cost.

Sample Co. intends to renew the trademark continuously and evidence supports its ability to do so.

Scenario

An analysis of:

- a) product life cycle studies,
- b) market, competitive and environmental trends, and
- c) brand extension opportunities

provides evidence that trademarked product will generate net cash inflows for the acquiring entity for an indefinite period.

Conclusion

The trademark would be treated as having an indefinite useful life because it is expected to contribute to net cash inflows indefinitely.

Therefore, the trademark would not be amortized until its useful life is determined to be finite.

It would be tested for impairment in accordance with IAS 36 annually and whenever there is an indication that it may be impaired.

Topic 139 – Intangible Assets – Review of Useful Life

The useful life of an intangible asset that is not being amortised shall be reviewed each period to determine whether events and circumstances continue to support an indefinite useful life assessment for that asset.

If the change occurs in useful life assessment from indefinite to finite that shall be accounted for as a change in an accounting estimate in accordance with IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors.

Scenario

The licensing authority subsequently decides that it will no longer renew broadcasting licenses, but rather will auction the licenses.

At the time the licensing authority's decision is made, the Sample's broadcasting license has three years until it expires.

Conclusion

Sample Co. expects that the license will continue to produce net cash inflows until the license expires. Because the broadcasting license can no longer be renewed, its useful life is not longer indefinite.

The acquired license would be amortized over its remaining three-year useful life and immediately tested for impairment in accordance with IAS 36.

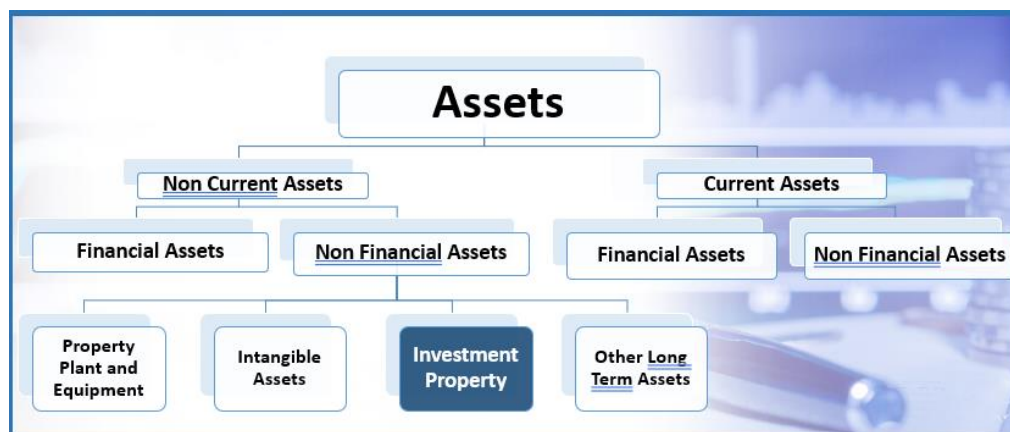
Chapter – 10

Investment property

Sr. No	Chapter outline - Topics
140	Investment property
141	Investment property - Identification
142	Property Not an Investment property
143	Investment property - identification scenario
144	Apportionment of Investment property
145	Investment property - additional services
146	Investment property - recognition and measurement
147	Transfer to or from Investment property
148	Transfer to or from Investment property - Practice

Topic Videos 140-148 are mandatory part of this chapter

Topic 140 – Accounting for Non-Current Assets Investment Property



Investment Property

An investment in land and/or building that is held with the intention of earning rental income or for capital appreciation (or both) is described as an investment property.

Owner Occupied Property

Held by the entity that is used for:

- production of goods or services
- supply of goods or services
- administrative purposes

Topic 141 – Investment Property Identification

Investment Property

Property (land or a building, or part of a building, or both) held (by the owner or by the lessee as a right-of-use asset):

1. to earn rental income; or
2. for capital appreciation purposes; or
3. both

rather than for use in the production or supply of goods or services or for administrative purposes or for sale in the ordinary course of business.

Examples

- Land held for long-term capital appreciation as opposed to short-term purposes like land held for sale in the ordinary course of business;
- Land held for a currently undetermined future use;

Examples

- A building owned by the reporting entity (or a right-of-use asset relating to a building held by the reporting entity) and leased out under one or more operating leases;
- Property under construction or being developed for future use as investment property.

Topic 142 – Property not Identify as Investment Property

Examples

- Property employed in the business (i.e., held for use in production or supply of goods or services or for administrative purposes);
- Property held for future use as owner-occupied property, property held for future development and subsequent use as owner-occupied property;
- Property occupied by employees (whether the employees pay rent at market rates);
- Owner-occupied property awaiting disposal;
- Property being constructed or developed on behalf of third parties; Property held for sale in the ordinary course of business or in the process of construction or development for such sale, the accounting for which is specified by IAS 2;
- Property that is leased to another entity under a finance lease.

Topic 143 – Investment Property Identification Scenario

Sample Co. built a residential property with the intention of selling it.

In the past, Sample Co. has regularly developed property and then sold it immediately after completion. In order to increase the chances of a sale, this time Sample Co. chooses to let some of the flats on rent as soon as they are ready for occupation.

The tenants move into the property before completion. How should Sample Co. present this property?

Conclusion

Sample Co. should classify this property as inventory. Because of Sample's core business and its strategy regarding selling property.

Letting out strategy is being carried out with the intention of increasing the chances of selling this property.

This property is not let out for the long-term generation of rental income.

Neither this property is held for the purpose of capital appreciation.

Cont.....

X's intention to sell the property under construction immediately after completion in the ordinary course of business has not changed. Consequently, the property under construction does not fulfil the definition of an investment property (IAS 40.9(a)).

Sample's intention to sell the property under construction immediately after completion in the ordinary course of business has not changed. Consequently, the property under construction does not fulfil the definition of an investment property.

Topic 144 – Apportionment of Investment Property Between Investment Property and Owner-Occupied Property

Dual Use Property

Certain properties are not held entirely for rental purposes or for capital appreciation purposes. Portions of these properties might be used by the entity for manufacturing or for administrative purposes.

Purposes

These portions may be earmarked for different purposes that could be:

- sold, or
- leased under a finance lease, separately

The entity is required to account for them separately.

Deemed Investment Property

If the portions cannot be sold, or leased (as a finance lease), separately, then the property would be deemed as an investment property only if an insignificant portion is held by the entity for business use.

Example

A shopping mall, which is rented to tenants, in which the owner maintains an office for the purposes of managing and administering the commercial building.

Topic 145 – Investment Property – Additional Services

Insignificant Services

When ancillary services are provided by the entity and these are a relatively insignificant component of the arrangement, as when the owner of a residential building provides maintenance and security services to the tenants, the entity treats such an investment as investment property.

Example

An example is when the owner of an office building provides security and maintenance services to the lessees who occupy the building.

Significant Services

When the service provided is a comparatively significant component of the arrangement, then the investment would be considered as an owner-occupied property.

Example

An entity that owns and operates a hotel and provides services to the guests of the hotel would be unable to argue that it is an investment property. Rather, such an investment would be classified as an owner-occupied property.

Topic 146 – Investment Property – Recognition and Measurement

Recognition

Investment property is recognised as an asset when, and only when, it becomes probable that the entity will enjoy the future economic benefits which are attributable to it, and when the costs of the investment property can be reliably measured.

Measurement

- Initial measurement at cost
- Subsequent measurement
 1. cost model
 2. fair value model

Cost Model

It is exactly the same as IAS 16 i.e., cost less accumulated depreciation less accumulated impairment losses.

Fair Value Model

When investment property is carried at fair value, at each subsequent financial reporting date the carrying amount must be adjusted to the then-current fair value, with the adjustment being reported in the profit or loss for the period in which it arises.

Fair Value Model

When choosing the fair value model all of the investment property must be measured at fair value, except when there is an inability to measure fair value reliably

Topic 147 – Transfer to or from Investment Property

Transfer

- From investment property to owner-occupied property;
- From an owner-occupied property to investment property;
- From investment property to inventories; or
- From inventories to investment property.

Measured at Cost Model

In the case of an entity that employs the cost model, transfers between investment property, owner-occupied property and inventories **do not change the carrying amount** of the property transferred and thus are **measured and disclosed at the same NBV**.

Measured at Fair Value Model

In the case of an entity that employs the fair value model, **vastly different results follow as far as recognition and measurement is concerned.**

Investment property is measured at fair value		
Circumstance	Transfer to or from	Deemed transfer value
Commencement of owner occupation	Transfer from investment property to owner-occupied property.	Fair value at the date of change of use becomes the deemed cost for future accounting purposes.
End of owner occupation	Transfer from owner-occupied property (PPE or ROU) to investment property.	Revalue in accordance with IAS-16 prior to the transfer.
Commencement of development with a view to sale	Transfer from investment property to inventories.	Fair value at the date of change of use becomes the deemed cost for future accounting purposes.
Commencement of operating lease to third party	Transfer from inventory to investment property.	Any difference between the fair value and the carrying amount of the inventory at the date of transfer would be reported in profit or loss.
End of construction	Transfer from assets <u>in the course of</u> construction to investment property.	Revalue the property at the date of change of use. Recognize any revaluation difference in the statement of comprehensive income immediately.
Determined that investment property is to be held for sale	Investment property classified as <u>non current</u> asset held for sale.	These continue to be measured at fair value up to the point of sale.

A change in management's intentions for the use of a property by itself does not constitute evidence of a change in use.

Topic 148 – Transfer to or from Investment Property – Practice

Question - 1

Can a property that has previously been classified as an investment property be reclassified as inventory if it is renovated to create disposal through sale?

Answer - 1

Yes. This may be the case when a significantly higher rental standard is achieved through renovation or when the lettable area is notably increased.

However, if the renovation only serves to maintain the property at its current level, then there is no development with the aim of sale.

Question - 2

Can a property under construction classified as inventory be reclassified as an investment property if the disposal plans no longer exist?

Answer - 2

No. A property under construction that has been classified as inventory to date is not to be reclassified solely on the basis of its intended use being changed.

This requires, an operating lease agreement to be commenced.

Chapter – 11

Accounting for impairment of Assets

Sr. No	Chapter outline - Topics
149	149-Accounting for impairment of Assets Basic concept
150	150-Accounting for impairment of assets - indicators of impairment
151	151-Measuring recoverable amount
152	152-Accounting Treatment of impairment loss
153	153-Accounting Treatment of Impairment Loss Practice Scenario-1
154	154-Accounting Treatment of Impairment Loss Practice Scenario-2

Topic Videos 149-154 are mandatory part of this chapter

Topic 149 – Accounting for Impairment of Assets – Basic Concept

Basic Concept

An entity is required to ensure that its assets are not carried at amounts higher than their recoverable amount.

Carrying Amount

The amount at which an asset is presented in the statement of financial position / Balance Sheet.

Recoverable Amount

The amount, which can be recovered by selling the asset or by using the asset in the entity.

Impairment

An asset is termed as impaired if its recoverable amount is lesser than its carrying amount.

Cost of asset	500
Accumulated Dep. -	100
Carrying amount	400
Recoverable amount	280
Impairment loss	120

Impairment Assessment

IAS 36 requires an entity to assess at the end of each reporting period whether there is any indication that an asset may be impaired.

Topic 150 – Accounting for Impairment of Assets Indication of Impairment

Impairment Stages

Stage 1 - Indication of impairment

Stage 2 – Assessment of recoverable amount

Stage 3 – Accounting treatment of impairment

Stage 1 - Indicators

Internal indicators

- Asset is damaged
- Plans to discontinue or restructure
- Reduction in remaining useful life
- Expected performance is worse than expected

Stage 1 - Indicators

External indicators

- Decline in market value of asset
- Change in technology, law, or other economic factors that have adverse effect on entity.
- Increase in interest rate
- Decrease in market capitalization

Stage 1 - Indicators

Impairment test is compulsory for intangible assets with an indefinite useful life.

Stage 2 - Assessment

Measurement of recoverable amount that is higher of the:

- Fair value less costs to sell, and
- Value in use

Stage 3 - Accounting

Write down the impaired asset with the amount of impairment loss to its recoverable amount

Topic – 151 Measuring Recoverable Amount

Impairment Stages

Stage 1 - Indication of impairment

Stage 2 – Assessment of recoverable amount

Stage 3 – Accounting treatment of impairment

Stage 2

Recoverable amount is the higher of:

- Fair value less cost to sell, and
- Value in use

Fair value less costs to sell

Fair value of an asset at a particular date is normally its current market value or the price that is determined in a binding sales agreement

Fair value less costs to sell

Costs to sell normally include incremental costs that are attributable to the disposal of an asset e.g., legal costs and taxes etc.

Value in Use

Present value of the future cash flows by application of an appropriate discount rate.

Cash flows are estimated from the continuing use and ultimate disposal of the asset.

Illustration					
Scenarios	Fair value less costs to sell Rs.	Value in use Rs.	Recoverable amount Rs.	Carrying amount Rs.	Impairment loss, impact on carrying amount
Asset # 1	950	1,040	1,040	1,000	No impairment
Asset # 2	950	960	960	1,000	Rs. 40, asset to be written down to Rs. 960
Asset # 3	940	920	940	1,000	Rs. 60, asset to be written down to Rs.940

Prudence Concept

Assets are not presented in the Statement of Financial Position at an amount that is greater than its recoverable amount.

Topic 152 – Accounting Treatment of Impairment Loss

Impairment Stages

Stage 1 - Indication of impairment

Stage 2 – Assessment of recoverable amount

Stage 3 – Accounting treatment of impairment

Stage 3 - Accounting

Write down the impaired asset with the amount of impairment loss to its recoverable amount

Impairment Loss

The impairment loss is normally recognized immediately in profit or loss as an expense.

Accounting Entry

Impairment loss Dr.

Accumulated Impairment Loss Cr.

Example

A company has a machine in its statement of financial position at a carrying amount of Rs.300,000.

The machine has been tested for impairment and found to have recoverable amount of Rs.275,000 meaning that the company must recognize an impairment loss of Rs.25,000.

Accounting Entry

Impairment Loss Dr. 25,000

Accumulated Impairment Loss Cr. 25,000

Statement of Profit or Loss

Impairment Expense 25,000

Statement of Financial Position

Assets

Machine	300,000
Accumulated	
Impairment -	25,000
Net Book Value	275,000

Topic 153 – Accounting Treatment of Impairment Loss Practice Scenario - 1

Scenario - 1

On 1st January 20X1, Sample Co purchased a machine for Rs.240,000 with an estimated useful life of 20 years and estimated nil residual value. Depreciation is charged on a straight-line basis.

On 1st January 20X4, an impairment review showed the machine's recoverable amount to be Rs.100,000 and its remaining useful life to be 10 years.

Solution

Step 1

Calculate carrying amount of the machine on 31st December 20X3
(immediately before the impairment)

	Rupees
Cost of Machine	240,000
Accumulated depreciation ($3 \times (240,000 \div 20 \text{ years})$)	- 36,000
Carrying amount	204,000

Solution

Step 2

Calculate impairment loss

(to be recognized in the year 4 on 1st January 20X4)

Impairment loss on 1 st January 20X4 is	Rs.104,000
Net Book Value	204,000
Recoverable Amount	100,000

Rs. 104,000 is charged to profit or loss as expense.

Solution

Step 3

Calculate depreciation expense

(to be recognized in the year 4 ending on 31st December 20X4)

Depreciation charge in 20X4 $\text{Rs.}100,000 \div 10$ 10,000

The recoverable amount is allocated on the expected remaining useful life.

Topic 154 – Accounting Treatment of Impairment Loss Practice Scenario - 2

Scenario - 2

Sample company has a machine in its statement of financial position at a carrying amount of Rs.300,000 including a previously recognized revaluation surplus of Rs.20,000.

Scenario - 2

The machine has been tested for impairment and found to have recoverable amount of Rs.275,000 meaning that the company must recognize an impairment loss of Rs.25,000.

Solution

Accounting Entry

	Dr. Rs.	Cr. Rs.
Impairment Loss (SOPL)	5,000	
Revaluation Surplus (SOI)	20,000	
Accumulated Impairment Loss (SOFP)		25,000

Solution

Impairment not covered by a previously recognized revaluation surplus on the same asset is recognized in statement of profit or loss.

Chapter – 12

Investment in Non-Current Financial Assets

Sr. No	Chapter outline - Topics
155	Investment in Non-Current Financial Assets
156	Investment in Non-Current Financial Assets - Initial Measurement
157	Investment in Equity Instrument-Practice
158	Investment in Debt Instrument-Practice
159	Financial Asset-Subsequent Measurement
160	Financial Asset-Measurement At FVTPL
161	Financial Asset-Measurement At FVTOCI
162	Financial Asset-Measurement At Amortized Cost

Topic Videos 155-162 are mandatory part of this chapter

Topic 155 – Accounting for Investment in Equity or Debt Instruments Non-Current Financial Assets



Financial Assets

These give rise to equity instrument or financial liability of other entity based on a contractual arrangement.

Being non-current, these are long-term investments.

Recognition

Investment in financial asset is recognised as an asset when entity becomes party to the contractual provisions of the instrument.

Investment in Equity Instruments

Buying or subscribing equity shares of another entity

Shares in X Co.

Dr.

Cash/Bank

Cr.

Investment in Debt Instruments

Advancing loan to another entity

Loan to X Co.

Dr.

Cash/Bank

Cr.

Investment in Debt Instruments

Buying loan notes or bonds of another entity

Loan notes in X Co.

Dr.

Cash/Bank

Cr.

Topic 156 – Investment in Equity or Debt Instruments Initial Measurement

Initial Measurement

Investment in Equity or Debt, being non-current financial asset, is initially measured at fair value plus transaction cost

Transaction Price

Fair value of a financial instrument at initial investment is normally the transaction price

Transaction Cost

It is the incremental costs directly attributable to the acquisition of a financial asset. For example; broker's fee, commissions, levies, transfer taxes and stamp duties.

Fair Value

The fair value of a financial asset at initial recognition is normally the transaction price particularly for financial instruments that are traded on the basis of fair values (i.e., the fair value of the consideration given or received).

Fair Value ≠ Transaction Price

1. Recognise day 1 gain/loss in SOPL if the fair value is evidenced from active market or the data is taken only from the observable markets; otherwise
2. Defer the difference over the term (period) of the financial asset.

Accounting Entries Day 1 Gain/Loss

Dr. Financial Asset at FV
Cr. Cash/Bank at TP
Cr. Day 1 Gain (SOPL)

Dr. Financial Asset at FV
Dr. Day 1 Loss (SOPL)
Cr. Cash/Bank at TP

Topic 157 – Investment in Equity Instruments Initial Measurement – Practice

Scenario

On 1 January 20X1, Sample Co. purchased 500 equity shares in Symbol Limited for Rs.100,000 at its fair value on that date.

Transaction costs is amounted to Rs.1,000 on 1 January 20X1.

Solution			Rs.	Rs.
Investment in Symbol Ltd.	Dr.		100,000	
Bank	Cr.			100,000
Investment in Symbol Ltd.	Dr.		1,000	
Bank	Cr.			1,000

Accounting Treatment

Transaction cost is included in the cost of investment for those investments that are to be measured subsequently at FVTOCI

Topic 158 – Investment in Debt Instruments Initial Measurement – Practice

Scenario

Sample Bank granted a Rs. 1 million loan to Symbol Co. on 1 January 20X1 at par. The loan is repayable in 2 years' time and bears annual interest of 7%.

A similar loan in the market normally bears interest at 9% per annum (as at 1 January 20X1), however Sample Bank is willing to receive a lower yield on the loan as Symbol Co. has agreed to transfer all other banking requirements solely to Sample Bank.

Solution

1 January 20X1

		Rs.	Rs.
Loan to Symbol Co.	Dr.	964,818	
Day-1 Loss (SOPL)	Dr.	35,182	
Bank	Cr.		1,000,000

Loan is recognised at fair value (present value of future cash flows).

Future Value (FV) 1 million;

annual cash flow of interest (pmt) 70,000;

cost of capital (i) = 9%;

No of period (n) = 2;

Present value (PV) 964,818

Solution

31 December 20X1

		Rs.	Rs.
Loan to Symbol Co.	Dr.	86,834	
Interest Income	Cr.		86,834
(Interest earned = 964,818 x 9%)			
Bank	Dr.	70,000	
Loan to Symbol Co.	Cr.		70,000
(Interest received = 1,000,000 x 7%)			

Interest income Vs. received

- Interest income is calculated on the amount due using effective interest rate
- Interest received is calculated on principal amount using the coupon interest rate

Topic 159 – Financial Assets – Subsequent Measurement

Classification

Financial asset shall be classified according to their subsequent measurement methods, that can be either:

- FVTPL,
- FVTOCI or
- Amortised Cost

FVTPL

Fair Value through Profit or Loss

It applies to all financial assets that do not meet the criteria to be measured at amortised cost and FVTOCI options.

As well as it applies to those financial assets that the entity elects to be measured under at FVTPL.

FVTOCI

Fair Value through Other Comprehensive Income

It applies to financial assets whose business model is a combination of holding to collect contractual cash flows as well as sell to manage profitability.

Amortised Cost

This category applies to financial assets whose business model is to hold to collect contractual cash flows and whose contractual cash flows are made solely of principal and interest

Topic 160 – Financial Assets Measurement at FVTPL

FVTPL

Fair Value through Profit or Loss

It applies to all financial assets that do not meet the criteria to be measured at amortised cost and FVTOCI options.

As well as it applies to those financial assets that the entity elects to be measured under at FVTPL.

Scenario

On 1 January 20X1, Sample Co. purchased 500 equity shares in Symbol Limited for Rs. 100,000 at its fair value on that date. Transaction costs is amounted to Rs. 1,000 on 1 January 20X1.

The fair value of Symbol's shares at 31 December 2014 was Rs. 120 000.

Solution

		Rs.	Rs.
Investment in Symbol Ltd.	Dr.	100,000	
Bank	Cr.		100,000
Statement of Profit or Loss	Dr.	1,000	
Bank	Cr.		1,000
Investment in Symbol Ltd.	Dr.	20,000	
Statement of Profit or Loss	Cr.		20,000

Accounting Treatment

- Transaction cost is charged to SOPL for the Financial Assets that are measured at FVTPL
- Remeasurement gain or loss against fair value adjustment is recognised in SOPL

Topic 161 – Financial Assets Measurement at FVTOCI

FVTOCI

Fair Value through Other Comprehensive Income

It applies to financial assets whose business model is a combination of holding to collect contractual cash flows as well as cash flow from sale to manage profitability.

Scenario

On 1 January 20X1, Sample Co. purchased 500 equity shares in Symbol Limited for Rs. 100,000 at its fair value on that date. Transaction costs is amounted to Rs. 1,000 on 1 January 20X1.

The fair value of Symbol's shares at 31 December 2014 was Rs. 120 000.

Solution

		Rs.	Rs.
Investment in Symbol Ltd.	Dr.	100,000	
Bank	Cr.		100,000
Investment in Symbol Ltd.	Dr.	1,000	
Bank	Cr.		1,000
Investment in Symbol Ltd.	Dr.	20,000	
Other Comprehensive Income	Cr.		20,000

Accounting Treatment

- Transaction cost is included in the Financial Assets that are measured at FVTOCI
- Remeasurement gain or loss against fair value adjustment is recognised in SOCI

Topic 162 – Financial Assets Measurement at Amortised Cost

Amortised Cost

This category applies to financial assets whose business model is to hold to collect contractual cash flows and whose contractual cash flows are made solely of principal and interest

Scenario

Sample Bank granted a Rs. 1 million loan to Symbol Co. on 1 January 20X1 at par. The loan is repayable in 2 years' time and bears annual interest of 7%.

A similar loan in the market normally bears interest at 9% per annum (as at 1 January 20X1), however Sample Bank is willing to receive a lower yield on the loan as Symbol Co. has agreed to transfer all other banking requirements solely to Sample Bank.

Solution			Rs.	Rs.
1 January 20X1				
Loan to Symbol Co.	Dr.		964,818	
Day-1 Loss (SOPL)	Dr.		35,182	
Bank	Cr.			1,000,000
Loan is recognised at fair value (present value of future cash flows). Future Value (FV) 1 million; annual cash flow of interest (pmt) 70,000; cost of capital (i) = 9%; No of period (n) = 2; Present value (PV) 964,818				
Solution			Rs.	Rs.
31 December 20X1				
Loan to Symbol Co.	Dr.		86,834	
Interest Income	Cr.			86,834
(Interest earned = $964,818 \times 9\%$)				
Bank	Dr.		70,000	
Loan to Symbol Co.	Cr.			70,000
(Collection of Interest on Principal = $1,000,000 \times 7\%$)				

Solution			Rs.	Rs.
31 December 20X2				
Loan to Symbol Co.	Dr.		88,348	
Interest Income	Cr.			88,348
(Interest earned = $981,652 \times 9\%$)				
Bank	Dr.		70,000	
Loan to Symbol Co.	Cr.			70,000
(Collection of Interest on Principal = $1,000,000 \times 7\%$)				

Solution			Rs.	Rs.
31 December 20X2				
Bank	Dr.		1,000,000	
Loan to Symbol Co.	Cr.			1,000,000
(Collection of principal amount on maturity)				

Business Model

To collect:

- Principal amount on maturity, and
- Interest on principal amount

Chapter – 1

Revenue from Contracts with Customers

Sr. No	Chapter outline - Topics
163	Revenue From Contracts With Customers
164	Revenue Model - Core Principles and Steps
165	Revenue Recognition
166	Identifying a Contract
167	Identifying a Contract-Practice
168	Identifying separate performance obligation
169	Determining transaction price
170	Allocating transaction price to performance obligation
171	Recognizing revenue when or as the entity satisfies PO

Topic Videos 163-171 are mandatory part of this chapter

Topic 163 – Revenue from Contracts with Customers

Revenue

Revenue is income from 'ordinary activities'.

Contract

A **contract** has rights and obligations between two or more parties. That is agreed and enforceable in the law.

Customer

Customer is a person (real or artificial) who receives a good or service that are product or output of the entity's ordinary activities in exchange for consideration.

Accounting Treatment

Customer	Dr.	
Revenue		Cr.

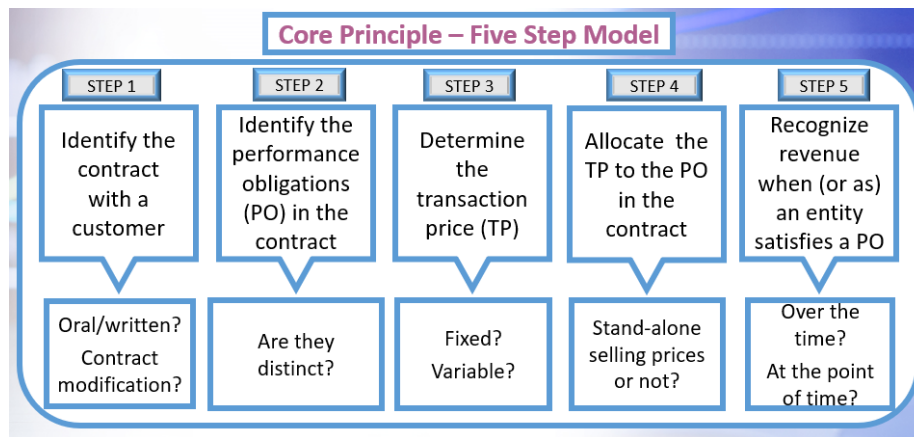
Topic 164 – Revenue from Contracts with Customers Revenue Model

Revenue model is based on core principles that require an entity to recognise revenue:

- For the promised product that is transferred to the customer
- At an amount of that is expected to be entitled in exchange of promised product

Core Principles

1. Identify contract with the customer
2. Identify the separate performance obligations in the contract
3. Determine transaction price
4. Allocate the transaction price to separate performance obligations
5. Recognise revenue when or as an entity satisfies performance obligations



- PO is the Promised product
- TP is the amount in exchange of PO

Topic 165 – Revenue Recognition – Scenario

Scenario

Sample Co. a telecom operator entered into a contract with JQ on 1 July 20X1. In line with the contract, JQ subscribes for **Sample Co's** monthly telecom services for 12 months and in return, JQ receives free handset from **Sample Co.** JQ will pay a monthly fee of Rs. 100.

JQ gets the handset immediately after contract signature.

Sample Co. sells the same handsets for Rs. 240 and the same monthly telecom plans for Rs. 80 per month without handset.

How should **Sample Co.** recognize revenues from the contract with JQ for the year ending on 31 December 20X1 (six months period)?

Steps

1. Identify contract
2. Identify the separate POs
3. Determine TP
4. Allocate the TP to POs
5. Recognise revenue

Step 1: Identify contract

Written contract between JQ and **Sample Co.**

Step 2: Identify POs

PO1: Monthly telecom services PO2: Handset

Step 3: Determine TP

Monthly fee: Rs. 100

Months of subscription: 12

Transaction price: Rs. 1,200

Step 4: Allocate TP to POs

Performance obligations	Stand alone selling price	Allocated TP to POs	Revenue	Billing Invoice
Telecom services	960	960	80	100 / month
Handset	240	240	240	0
Total	1,200	1,200		

Step 5: Recognize revenue when (or as) an entity satisfies a PO

PO 1: Monthly telecom services	Over time, <u>as</u> monthly network services are provided
PO 2: Handset	At the point of time, <u>when</u> handset is Delivered

Accounting Entries

1 Jan 20X1

Contract Asset	Dr.	240	
Sales of handset	Cr.		240

31 Jan 20X1

Trade Receivable	Dr.	100	
Sales of Services	Cr.		80
Contract Asset	Cr.		20

(for six months Jan to Dec)

Statement of Profit or Loss

Extract – 1 Jan to 31 Dec 20X1

Sales of handset	240
Sales of telecom services	480
Total Revenue	720

Statement of Financial Position

Extract – as on 31 Dec 20X1

Contract Asset	240
Amortised (Rs.20x6months)	- 120
	120
Trade Receivable (Dec.20X1)	100

Topic 166 – Revenue from Contracts with Customers Identifying a Contract

Contract

A contract is an **agreement between two or more parties** that creates enforceable rights and obligations.

Revenue model applies:

1. **when collection of consideration is probable**

and when or if the contract:

2. **has commercial substance**
3. **identifies each party's rights**
4. **identifies payment terms**
5. **has been approved by the parties and establishes commitment to perform obligations**

If a contract with customer does not meet these criteria, revenue is recognised only when either:

- The entity's performance is complete and substantially all of the consideration in the arrangement has been collected and is non-refundable; or
- The contract has been terminated and the consideration received is non-refundable.

Topic 167 – Identifying a Contract with Customer – Practice

Scenario 1

Sample Co. (car dealer) agreed on 1 March 20X1 to sell 10 cars to Alpha Co. Due to some deficiency in drafting the agreement each party's rights cannot be identified.

On 31 March 20X1 Sample Co. delivered the cars that were accepted by Alpha Co. Full payment was made by Alpha Co. on 10 April 20X1, which is non-refundable.

Conclusion

Sample Co. cannot identify each party's rights so revenue recognition should be delayed until the entity's performance is complete and substantially all of the consideration has been collected and is non-refundable.

Therefore, revenue should be recognised on April 10, 20X1.

Scenario 2

Sample Electronic Co. agreed to deliver 10 lap tops to IQ within 3 months. As per the agreement Sample Co. can cancel the contract any time before delivering the lap tops.

Sample Co. is not required to pay any penalty to IQ if it is unable to satisfy the performance obligation.

Conclusion

A contract does not exist if each party (either buyer or seller) has an enforceable right to terminate a wholly unperformed contract without compensating the other party.

As Sample Co. can cancel the contract without paying any compensation to IQ therefore contract does not exist.

Topic 168 – Identifying a Separate Performance Obligation

Performance Obligation

PO is a promise in a contract with a customer to transfer a good or service to the customer.

Distinct Good or Service

A good or service (or a bundle of goods or services) that is distinct. Like;

- Sale of a car
- Sale of course books
- Servicing a truck
- Providing tax advice

Series of Distinct Good or Service

A series of distinct goods or services that are substantially the same and that have the same pattern of transfer to the customer.

- Weekly service contract of fleet of cars for 3 months
- Telecom service contract for 12 months

Scenario

Sample Co. sells 10 washing machines for Rs. 50,000 each to SRB Laundry, and agrees to provide following for free:

1. 2 years' after sale service
2. 10 kg detergent every month for the next 12 months
3. 50% discount voucher if next purchase is made in the upcoming 6 months.

Conclusion

There are 4 separate performance obligations:

1. Delivery of 10 washing machines (point in time)
2. Service and maintenance over 2 years (over time)
3. 10 kg detergent over the next 12 months (over time)
4. Discount voucher (point in time)

Topic 169 – Determining Transaction Price

Transaction Price

Transaction price is the amount of consideration an entity **expects to be entitled to in exchange for the goods or services promised under a contract**, excluding any amounts collected on behalf of third parties (for example, sales taxes).

While determining the TP an entity must consider:

- Variable consideration;
- Time value of money;
- Non-cash consideration;
- Consideration payable to the customer.

Scenario

Sample Co. enters into a contract to supply 100 tons of coal to a customer in two weeks for Rs. 200,000. If the coal is not supplied on time, there will be a penalty of Rs. 20,000.

Sample Co. has a history of supplying coal and there is 90% chance that the coal will be supplied on time.

Conclusion

There are two possible outcomes:

- Rs. 200,000 if supply is made on time
- Rs. 180,000 if supply is not made on time

The “most likely amount” method better predicts the amount of consideration

Therefore, transaction price is Rs. 200,000 as there is 90% chance of on time supply.

Scenario

On 1 December 20X1, Sample Co. sold 300 mobile phones for Rs. 5,000 each.

Customer has the right to return the phones within 3 months, with full refund. Thereafter the customer can no longer return and must pay in full.

Sample Co. has previously worked with this customer and can reliably estimate that 5% of the mobile phones will probably be returned within a 3-month period.

Conclusion

Transaction price contains a variable element, when customer has the right to return.

Since the variable element can be reliably estimated, it is taken into account in the revenue estimate, and the total amount of revenue will be Rs. 1,425,000 (300 x 95% x Rs.5,000).

Topic 170 – Allocating Transaction Price to Performance Obligation

Allocation

The entity allocates a contract's transaction price to each separate performance obligation within that contract on a relative stand-alone selling price basis at inception of the contract.

Scenario

Sample Co. a telecom operator entered into a contract with JQ on 1 July 20X1. In line with the contract, JQ subscribes for **Sample Co's** monthly telecom services for 12 months and in return, JQ receives free handset from **Sample Co.** JQ will pay a monthly fee of Rs. 100.

JQ gets the handset immediately after contract signature.

Sample Co. sells the same handsets for Rs. 300 and the same monthly telecom plans for Rs. 80 per month without handset.

How should **Sample Co.** recognize revenues from the contract with JQ for the year ending on 31 December 20X1 (six months period)?

Step 4: Allocate TP to POs				
Performance obligations	Stand alone selling price	Allocate TP to POs	Revenue	Billing Invoice
Telecom services	960	$(1200 \times 960 / 1260)$ 914	76	100 / month
Handset	300	$(1200 \times 300 / 1260)$ 286	286	0
Total	1,260	1,200		
Alternatively				
Performance obligations	Stand alone selling price	Allocate discount to POs	Revenue	Billing Invoice
Telecom services	960	$(60 \times 960 / 1260)$ 46	$914 / 12 = 76$	100 / month
Handset	300	$(60 \times 300 / 1260)$ 14	286	0
Total	1,260	1,200		

Accounting Entries

1 Jan 20X1

Contract Asset	Dr.	286	
Sales of handset	Cr.		286

31 Jan 20X1

Trade Receivable	Dr.	100	
Sales of Services	Cr.		76
Contract Asset	Cr.		24

(for six months Jan to Dec)

Topic 171 – Recognizing Revenue “when” or “as” the entity satisfies PO

Transfer of Control

Revenue Recognition Model is based on transfer of control.

(“When” or “as”)

Control is transferred in two ways:

1. “When” the entity satisfies PO at a point in time, and
2. “As” the entity keeps on satisfying PO over the time.

Entity must determine “when” or “as” at inception of the contract.

Scenario

Sample Co. a telecom operator entered into a contract with JQ on 1 July 20X1. In line with the contract, JQ subscribes for **Sample Co's monthly telecom services for 12 months** and in return, JQ receives **free handset** from **Sample Co.** JQ will pay a **monthly fee of Rs. 100.**

JQ gets the handset immediately after contract signature.

Sample Co. sells the same handsets for Rs. 300 and the same monthly telecom plans for Rs. 80 per month without handset.

How should **Sample Co.** recognize revenues from the contract with JQ for the year ending on 31 December 20X1 (six months period)?

Step 5: Recognize revenue (“when” or “as”) an entity satisfies a PO

PO 1: Handset / Mobile Phone

At the point in time, when handset is Delivered

PO 2: Monthly telecom services

Over time, as monthly telecom services are provided

Accounting Entries

1 July 20X1

Contract Asset	Dr.	286	
Sales of handset	Cr.		286

(At the point in time, “when” handset is Delivered)

31 July 20X1 – 31 Dec 20X1

Trade Receivable	Dr.	100	
Sales of Services	Cr.		76
Contract Asset	Cr.		24

(Over the time, “as” monthly service is provided)

(for six months July to December 20X1)

Statement of Profit or Loss

Extract – 1 Jul to 31 Dec 20X1

Sales of handset	286
Sales of telecom services	456
Total Revenue	742

Statement of Financial Position

Extract – as on 31 Dec 20X1

Contract Asset	286	
Amortised (Rs.24x6months)	- 144	142
Trade Receivable (Dec.20X1)		100

Chapter – 14

Financial statement analysis

Sr. No	Chapter outline - Topics
172	Financial statement analysis
173	Vertical Analysis
174	Horizontal Analysis
175	Ratio Analysis
176	Profitability Ratio
177	177-Liquidity Ratio
178	178-Debt Ratios or Leverage Ratios
179	179-Efficiency Ratios
180	180-Market Ratios or Owner Ratios
181	181-Cash Flow Ratios
182	182-Limitations in Financial Statement Analysis

Topic Videos 172-182 are mandatory part of this chapter

Topic 172 – Financial Statement Analysis

Forms of information:

1. Absolute form
2. Relative form

Mostly users look for analytical information that is provided in relative form to assess entity's performance and position.

Absolute Vs. Relative

<u>Sample Co.</u>	Absolute	Relative
	in Rupees	% of sales
Sales	800	100%
Cost of Sales	640	80%
Gross Profit	160	20%
<u>Simple Co</u>	Absolute	Relative
	in Rupees	% of sales
Sales	1,800	100%

Cost of Sales	1,620	90%
Gross Profit	180	10%

Financial Statement Analysis

- Vertical Analysis
- Horizontal Analysis
- Ratio Analysis
- Cash Flow Analysis

Use of Analysis

- Interpretation
- Decision Making

Topic 173 – Vertical Analysis

Up-down or Down-up

Vertical analysis restates balance sheet or income statement amounts as a percentage of total assets (balance sheet) or net sales (income statement).

Sample Co. Balance Sheet				Sample Co. Balance Sheet			
Rupees in Thousand				Rupees in Thousand			
	20X1	20X2	20X3		20X1	20X2	20X3
Fixed Asset	500	700	300	Fixed Asset	63%	82%	60%
Current Asset	300	150	200	Current Asset	37%	18%	40%
Total Assets	800	850	500	Total Assets	100%	100%	100%
Owners Equity	600	500	250	Owners Equity	75%	59%	50%
Liabilities	200	350	250	Liabilities	25%	41%	50%
Total Assets	800	850	500	Total Assets	100%	100%	100%

Sample Co. Income Statement				Sample Co. Vertical Analysis			
Rupees in Thousand							
	20X1	20X2	20X3		20X1	20X2	20X3
Sale	400	425	500	Sale	100%	100%	100%
Cost of Sale	120	150	200	Cost of Sale	30%	35%	40%
Gross Profit	280	275	300	Gross Profit	70%	65%	60%
Expenses	152	157	240	Expenses	38%	37%	48%
Net Income	128	118	60	Net Income	32%	28%	12%

Common Size Analysis

Wherein, each item in the financial statement is shown as percentage of base figure. Comparing results for two or more successive periods help in analyzing financial statements.

Topic 174 – Horizontal Analysis

Line by Line Item Analysis

It analyses information of one accounting period (comparison period) with the same information of other accounting period (base period).

- Chain analysis
- Index analysis

Chain Analysis

Sales in the year		
	Rs.	
20X0	7,500	
20X1	5,400	72% of 20X0
20X2	10,500	194% of 20X1
20X3	11,250	107% of 20X2

Index Analysis

Sales in the year		
	Rs.	
20X0	7,500	Base Year
20X1	5,400	72%
20X2	10,500	140%
20X3	11,250	150%

Trend Analysis

$$\frac{\text{Sales in the comparison year} - \text{Sales in the base year}}{\text{Sales in the base year}} = \% \text{ Increase or Decrease in Sales}$$

Rupees			
20X0	7,500		
20X1	5,400	$\frac{5,400 - 7,500}{7,500}$	$= \frac{-2,100}{7,500} = 28\% \text{ decrease in sales}$
20X2	10,500	$\frac{10,500 - 5,400}{5,400}$	$= \frac{+5,100}{5,400} = 94\% \text{ increase in sales}$

Spotting Trend

Normally two accounting periods are required for a valid comparison.

In order to spot actual trends, it's better to include three or more accounting periods when calculating horizontal analysis.

Topic 175 – Ratio Analysis

Financial Performance

A process of ascertaining the financial ratios for indicating the ongoing financial performance of an entity.

Types of Ratio Analysis

- Profitability Ratios
- Liquidity Ratios
- Debt or Leverage Ratios
- Efficiency Ratios
- Market or Owners Ratios

Management Tool

Ratio analysis is a useful management tool that improves understanding of financial results and trends over time, and provides key indicators of organizational performance.

Use of Ratio Analysis

Managers use ratio analysis to pinpoint strengths and weaknesses from which strategies and initiatives can be formed.

Topic 176 – Profitability Ratios

Profitability Ratios

These ratios measure an entity's ability to generate profits relative to revenue, costs, assets and equity.

Ratios Include

- Profit on sales
- Cost of goods sold on sales
- Specific expense on sales
- Return on capital employed
- Return on owners' equity
- Return on Assets

Sample Co. Income Statement	
	Rs (000)
Sale	500
Cost of sale	200
Gross profit	300
Operating expenses	120
Profit before tax	180
Income tax	60
Profit after tax	120

Profit on Sales

$$\frac{\text{Gross Profit}}{\text{Net Sales}} \times 100 = \% \quad \frac{300}{500} \times 100 = 60\%$$

Profit on Cost

$$\frac{\text{Gross Profit}}{\text{Cost of Sales}} \times 100 = \% \quad \frac{300}{200} \times 100 = 150\%$$

Expense on Sales

$$\frac{\text{Operating expense}}{\text{Net Sales}} \times 100 = \% \quad \frac{120}{500} \times 100 = 24\%$$

Sample Co. Income Statement	
	Rs (000)
Sale	500
Cost of sale	200
Gross profit	300
Operating expenses	120
Profit before tax	180
Income tax	60
Profit after tax	120

Sample Co. Balance Sheet	
	Rs (000)
Non Current Asset	300
Current Assets	100
Total Assets	400
Owners Equity	250
Non Current Liab.	70
Current Liabilities	80
Total Assets	400

Return on Owners Equity

$$\frac{\text{Profit after Tax}}{\text{Owners Equity}} \times 100 = \% \quad \frac{120}{250} \times 100 = 48\%$$

Return on Capital Employed

$$\frac{\text{PBIT}}{\text{Capital Employed}} \times 100 = \% \quad \frac{180}{320} \times 100 = 56\%$$

Return on Assets

$$\frac{\text{Operating Profit}}{\text{Total Assets}} \times 100 = \% \quad \frac{180}{400} \times 100 = 45\%$$

Other Profitability Ratios

- Markup rate
- Analysis of different profits on sales
- Percentage annual growth in sales
- Percentage annual change in operating expenses

Topic 177 – Liquidity Ratios

Liquidity Ratios

These are the financial ratios that measure an entity's ability to repay both short term and long-term obligations.

Ratios Include

- Current Ratio
- Acid Test Ratio
- Cash Ratio
- Operating Cash Flow Ratio

Sample Co. Balance Sheet	
	Rs (000)
Non Current Asset	300
Current Assets	100
(Inventory 15; A/R 45; Cash 40)	
Total Assets	400
Owners Equity	250
Non Current Liabilities	70
Current Liabilities	80
Total Assets	400

Current Ratio
$$\frac{\text{Current Assets}}{\text{Current Liabilities}} = \text{times}$$
$$\frac{100}{80} = 1.25 \text{ times}$$

Quick or Acid-test Ratio
$$\frac{\text{Quick Asset}}{\text{Current Liabilities}} = \text{times}$$
$$\frac{85}{80} = 1.06 \text{ times}$$

Cash Ratio
$$\frac{\text{Cash \& Cash equivalent}}{\text{Current Liabilities}} = \text{times}$$
$$\frac{40}{80} = 0.5 \text{ time}$$

Liquidity Position

Holding excessive liquid assets is always a bad sign. Liquidity should be managed in a way that current and noncurrent obligation could be managed conveniently.

Topic 178 – Debt/Leverage Ratios

Leverage Ratios

These are the financial ratios that measure the amount of capital that comes from debt. In other words, leverage financial ratios are used to evaluate an entity's debt levels.

Ratios Include

- Debt Ratio
- Debt to Equity
- Gearing Ratio
- Interest Coverage Ratio

Sample Co. Balance Sheet	
	Rs (000)
Non Current Asset	300
Current Assets (Inventory 15; A/R 45; Cash 40)	100
Total Assets	400
Owners Equity	250
Non Current Liabilities	70
Current Liabilities	80
Total Assets	400

Debt Ratio

$$\frac{\text{Total Liabilities}}{\text{Total Assets}} \times 100 = \text{times}$$

$$\frac{150}{400} \times 100 = 37.5\%$$

Debt to Equity Ratio

$$\frac{\text{Non Current Debts}}{\text{Owners' Equity}} \times 100 = \text{times}$$

$$\frac{70}{250} \times 100 = 28\%$$

Gearing Ratio

$$\frac{\text{Non Current Debt}}{\text{Capital Employed}} \times 100 = \text{times}$$

$$\frac{70}{320} \times 100 = 22\%$$

Sample Co. Income Statement	
	Rs (000)
Sale	500
Cost of sale	200
Gross profit	300
Operating expenses	120
Operating Profit	180
Interest expense	10
Profit before tax	170
Income tax	60
Profit after tax	110

Sample Co. Balance Sheet	
	Rs (000)
Non Current Asset	300
Current Assets	100
Total Assets	400
Owners Equity	250
Non Current Liab.	70
Current Liabilities	80
Total Assets	400

Interest Coverage Ratio

$$\frac{\text{PBIT}}{\text{Interest Expense}} = \text{times}$$

$$\frac{180}{10} = 18 \text{ times}$$

High Geared Vs. Low Geared

- An entity is high-gearred when its gearing ratio is above 50%
- An entity is low-gearred when its gearing ratio is below 50%

Topic 179 – Efficiency Ratios

Efficiency Ratios

These are also known as activity financial ratios. Efficiency Ratios are used to measure how well an entity is utilizing its assets and other resources.

Ratios Include

- Asset Turnover Ratio
- Inventory Turnover Ratio
- Receivable Turnover Ratio
- Inventory Holding Period
- Receivable Collection Period

Sample Co. Income Statement Rs (000) Sale 500 Cost of sale 200 Gross profit 300 Operating expenses 120 Operating Profit 180 Interest expense 10 Profit before tax 170 Income tax 60 Profit after tax 110	Sample Co. Balance Sheet Rs (000) Non Current Asset 300 Current Assets 100 Inventory 15; A/R 45; Cash 40 Total Assets 400 Owners Equity 250 Non Current Liab. 70 Current Liabilities 80 Total Assets 400	Assets Turnover Ratio $\frac{\text{Net Sales}}{\text{Average Total Assets}} = \text{times}$ $\frac{500}{400} = 1.25 \text{ times}$ Inventory Turnover Ratio $\frac{\text{Cost of Goods Sold}}{\text{Average Inventory}} = \text{times}$ $\frac{200}{15} = 13.33 \text{ times}$ Receivable Turnover Ratio $\frac{\text{Net Credit Sales}}{\text{Average Accounts Receivable}} = \text{times}$ $\frac{500}{45} = 11.11 \text{ times}$
Sample Co. Income Statement Rs (000) Sale 500 Cost of sale 200 Gross profit 300 Operating expenses 120 Operating Profit 180 Interest expense 10 Profit before tax 170 Income tax 60 Profit after tax 110	Sample Co. Balance Sheet Rs (000) Non Current Asset 300 Current Assets 100 Inventory 15; A/R 45; Cash 40 Total Assets 400 Owners Equity 250 Non Current Liab. 70 Current Liabilities 80 Total Assets 400	Inventory Holding Period $\frac{\text{Average Inventory}}{\text{Cost of goods sold per day}} = \text{days}$ $\frac{15}{200 \div 365} = 27 \text{ days}$ Receivable Collection Period $\frac{\text{Average Accounts Receivable}}{\text{Credit sales per day}} = \text{days}$ $\frac{45}{500 \div 365} = 33 \text{ days}$ Accounts Payable Turnover Ratio $\frac{\text{Net Credit Purchases}}{\text{Average Accounts Payable}} = \text{times}$ Payable payment Period $\frac{\text{Average Accounts Payable}}{\text{Credit purchases per day}} = \text{days}$

Alternative Replacements

- Total sales instead of credit sales
- Total purchases instead of credit purchases
- Ending Accounts Receivable instead of average amount
- Ending Accounts Payable instead of average amount
- Ending Inventory instead of average amount

Topic 180 – Market/Owners’ Ratios

Market Ratios

These are also known as Owners or Shareholders Ratios.

Market ratios are used to evaluate the share price of an entity’s stock.

Ratios Include

- Book Value Per Share
- Dividend Yield Ratio
- Earnings Per Share
- Price Earnings Ratio

Sample Co.

Statement of Retained Profits

	Rs (000)
Opening Balance	80
Profit after tax	110
Dividend paid	40
Closing Balance	150

Sample Co.

Balance Sheet (Extract)

Rs (000)

Owners Equity

Paid up share capital	
10,000 equity shares	
of Rs. 10 each	100
Retained Profits	<u>150</u>
	250

Note:

Market price per share
Rs. 40

Book value per share

$$\frac{\text{Owners Equity}}{\text{Equity share outstanding}} = \text{per share}$$
$$\frac{250,000}{10,000} = 25$$

Dividend Yield Ratio

$$\frac{\text{Dividend Per Share}}{\text{Market price per share}} \times 100 = \%$$
$$\frac{40,000 \div 10,000}{40} = 10\%$$

Earnings Per Share Ratio

$$\frac{\text{Profit after tax}}{\text{Equity shares outstanding}} = \text{times}$$
$$\frac{110,000}{10,000} = 11 \text{ per share}$$

Price Earning Ratio

$$\frac{\text{Market Price Per Share}}{\text{Earnings Per Share}} = \text{times}$$
$$\frac{40}{11} = 3.64 \text{ times}$$

Potential and Current Investors

Current and potential investors are interested to know the results of market ratios that are also known as investors’ ratios or shareholders’ ratios.

Topic 181 – Cash Flow Ratios

Cash Flow Ratios

Cash flow ratios compare cash flows to other elements of an entity's financial statements.

These ratios are especially important when evaluating entities whose cash flows diverge substantially from their reported profits.

Ratios Include

- Cash flow coverage ratio
- Current liability coverage ratio
- Cash flow margin ratio
- Price to cash flow ratio
- Cash flow to net income

Sample Co. Balance Sheet

Rs (000)

Non Current Asset	300
Current Assets	100
(Inventory 15; A/R 45; Cash 40)	
Total Assets	400
Owners Equity	250
Non Current Liabilities	70
Current Liabilities	80
(Accruals 10; A/P 50; Bank O/D 20)	
Total Assets	400

Sample Co. Cash Flow from Operations

Rs (000)

From Customers	455
To Suppliers	- 165
For Operating Exp -	80
From Operations	210

Cash flow coverage ratio

$$\frac{\text{Operating Cash Flow}}{\text{Total Debts}} = \text{times}$$

$$\frac{210}{150} \times 100 = 1.4 \text{ times}$$

Current liability coverage ratio

$$\frac{\text{Operating Cash Flow}}{\text{Current Liabilities}} = \text{times}$$

$$\frac{210}{80} \times 100 = 2.63 \text{ times}$$

Cash flow margin ratio

$$\frac{\text{Operating Cash Flow}}{\text{Sales}} \times 100 = \%$$

$$\frac{210}{500} \times 100 = 42\%$$

Sample Co. Income Statement

Rs (000)

Sale	500
Cost of sale	200
Gross profit	300
Operating expenses	120
Operating Profit	180
Interest expense	10
Profit before tax	170
Income tax	80
Profit after tax	110

Sample Co. Balance Sheet (Extract)

Rs (000)

Owners Equity	
Paid up share capital	
10,000 equity shares	
of Rs. 10 each	100
Retained Profits	150
	250

Note:

Market price per share
Rs. 40

Price to cash flow ratio

$$\frac{\text{Market Price Per Share}}{\text{Operating Cash Flow Per Share}} = \text{times}$$

$$\frac{40}{(210.000 \div 10,000)} = 1.9 \text{ times}$$

Cash flow to net income ratio

$$\frac{\text{Operating Cash Flow}}{\text{Operating Profit}} = \text{times}$$

$$\frac{210}{180} \times 100 = 1.17 \text{ times}$$

Indicator

A higher level of cash flow indicates a better ability to withstand declines in operating performance, as well as a better ability to pay dividends to investors.

Topic 182 – Limitations in Financial Statement Analysis

Limitations

Financial Statement analysis is used to compare relative information and to gain an analytical understanding of financial position, financial performance and cash flows of an entity.

This analysis is a useful tool, however, there are a number of limitations.

Historical

Information used in the analysis is derived from actual historical results.

This does not mean that the same results will be carried forward in the future.

Historical Vs. Current Cost

Information on the income statement is stated in current costs (or close to it), whereas many elements of the balance sheet are stated at historical cost.

This disparity may result in unusual ratio results.

For example, assets turnover ratio.

Inflationary effect

If the rate of inflation has changed in any of the periods under review, this can mean that the numbers are not comparable across periods.

For example, if the inflation rate was 100% in one year, sales would appear to have doubled over the preceding year, whereas in fact sales did not change at all.

Accounting policies and estimates

Different entities in a similar industry may have different policies for recording the same accounting transaction.

For example, one entity may use reducing balance method while another entity uses straight-line method for depreciation.

Interpretation

It can be quite difficult to ascertain the reason for the results of a ratio.

For example, an “acid-test ratio of 1.2:1” might appear to be excellent, until one realizes that the entity just sold a large amount of its stock to bolster its cash position.

Chapter – 15

Accounting for Incomplete Records

Sr. No	Chapter outline - Topics
183	Accounting For Incomplete Records
184	Accounting For Small Entities Accounting System
185	Statement Of Profit or Loss
186	Statement Of Affairs
187	Practice-Accounting For Incomplete Records-I
188	Practice-Accounting For Incomplete Record-II
189	Conversion of Single Entry into Double Entry
190	Conversion - Mapping Income Statement With Source Documents
191	Conversion - Mapping Balance Sheet With Source Documents
192	Source Record for Mapping
193	Conversion into Double Entry Practice - Question
194	Conversion into Double Entry Practice - Answer
195	Conversion into Double Entry Missing Information
196	Conversion into Double Entry - Markup and Margin
197	Use of Markup Ratio
198	Use of Margin Ratio
199	Conversion of Margin Into Markup
200	Conversion of Markup Into Margin

Topic Videos 183-200 are mandatory part of this chapter

Topic 183 – Accounting for Incomplete Records

Accounting Cycle

- Accounting Phenomena
 - Transactions
 - Events
 - Conditions
- Source Documents
- Voucher
- Journals /Day books
- Ledgers
- Trial Balance
- Financial Statements
- Analysis

Accounting System

- Single Entry Accounting

- **Double Entry Accounting**

Scale of Business Entities

- Small scale entities
 - Single entry
- Medium scale entities
 - Single / Double entry
- Large scale entities
 - Double entry

Cash Vs. Accrual Basis

- Cash based accounting
 - Single entry
- Accrual based accounting
 - Double entry

Single Entry

Accounting for incomplete records is in fact “Single Entry Accounting”.

Topic 184 – Accounting System for Small Scale Business Entities

Small Entities

- Single owner
- Little setup
- Limited resources
- Less transactions
- No bank account
- Few credit transactions
- One person many rolls

Accounting Needs

- Financial Performance
- Financial Position
- Taxation matters

Accounting System

- Assets and Liabilities at the start and end of the year
- Cash and non-cash capital introduced during the year
- Cash and non-cash drawings during the year

Accounting Equations

Opening Owners' Equity

Op. Assets – Op. Liabilities

Closing Owners' Equity

Cl. Assets – Cl. Liabilities

Profit for the year

Closing Owners' Equity + Drawings – Opening Owners' Equity – New/Fresh Capital.

Topic 185 – Statement of Profit or Loss for Small Entities

Statement of Profit or Loss

- It does not contain Incomes and Expenses
- The result is exactly the same had it been prepared on double entry basis

<u>Owner's Equity</u> <u>On the Reporting Date</u>	
Opening Owner's Equity	**
Fresh Capital	+**
Profit for the year	+ **
Drawings	- **
Closing Owner's Equity	***

<u>Statement of Profit or Loss</u> <u>For the Reporting Period</u>	
Closing Owner's Equity	**
Opening Owner's Equity -	**
Fresh Capital	- **
Drawings	+**
Profit for the year	***

Question

	Rs.
Opening Owner Equity	100
Closing Owner Equity	150
Drawings during the year	140
Fresh capital introduced during the year	25

Prepare Statement of Profit or loss for the reporting year

Answer

Statement of Owner's Equity On the Reporting Date

	Rs.
Opening Owner's Equity	100
Profit for the Year	+ ?
Fresh Capital	+ 25
Drawings	-140
Closing Owner's Equity	<u>150</u>

Answer

Statement of Owner's Equity On the Reporting Date

	Rs.
Opening Owner's Equity	100
Profit for the Year	+ ?
	265
Fresh Capital	+ 25
	<u>290</u>
Drawings	-140
Closing Owner's Equity	<u>150</u>

Answer

Statement of Owner's Equity On the Reporting Date

	Rs.
Opening Owner's Equity	100
Profit for the Year	? +165
	265
Fresh Capital	+ 25
	<u>290</u>
Drawings	-140
Closing Owner's Equity	<u>150</u>

Answer

Statement of Owner's Equity On the Reporting Date

	Rs.
Opening Owner's Equity	100
Profit for the Year	? +165
	265
Fresh Capital	+ 25
	<u>290</u>
Drawings	-140
Closing Owner's Equity	<u>150</u>

Answer

Statement of Profit or Loss For the Reporting Year

	Rs.
Closing Owner's Equity	150
Opening Owner's Equity -	100
Fresh Capital	- 25
Drawings	+140
Profit for the year	<u>165</u>

Simple Technique

For small entities, which are not preparing proper books of accounts and cannot extract a trial balance, the technique to know the profit for the reporting period is very simple i.e., to come **Other Way Round**.

Topic 186 – Statement of Affairs

Statement of Affairs

It is a statement containing balances of assets and liabilities of an entity on a specific date.

Assets	Amount (Rs)	Liabilities	Amount (Rs)
Furniture & Fixture	xxx	Loans taken	xxx
Equipments	xxx	Trade payables	xxx
Inventories	xxx	Payable expenses	xxx
Trade Receivables	xxx	Owner's equity	
Prepaid expenses	xxx	(Balancing figure)	xxx
Bank balance	xxx		
Cash in hand	xxx		
	xxx		xxx

Net Assets

The balance of Owner's Equity can also be termed as Net Assets as it is the balance of assets after subtracting all liabilities.

SOA Vs. SOFP

SOFP is balance sheet of the entity that shows financial position on a specific date by presenting "Resources" against the "Claims/Sources". There is no balancing figure in SOFP.

Whereas, in SOA all liabilities are subtracted from all the assets on a specific date to know the Net Assets.

Topic 187 – Accounting for Incomplete Records – Practice (Part A)

Practice Question

Burhan and Bilal are partners in **Sample Developers** sharing profits and losses in the ratio of 3:2. They do not keep proper books of accounts. On 31 December, 20X1, the following Statement of Affairs was extracted from their record:

Assets	Rs	Liabilities	Rs
Plant & Machinery	30,000	Loan from Bilal	25,000
Inventories	20,000	Trade Payables	30,000
Trade Receivables	35,000	Owners' Equity	45,000
Cash at Bank	15,000	Burhan	25,000
		Bilal	20,000
	100,000		100,000

Practice Question – cont.....

On 31st December, 20X2, their assets and liabilities were:

Plant & Machinery Rs 50,000; Trade Receivables Rs 40,000; Inventories Rs 30,000; Other Receivables Rs 5,000; Cash at Bank Rs 25,000; Trade Payables Rs 25,000; Loan from Bilal Rs 25,000. Prepare a Statement of Profit or Loss for the year ended 31st December, 20X2 and Balance Sheet on that date after taking into consideration the following facts:

- Plant and machinery is to be depreciated by Rs. 4,000.
- Inventories are to be reduced at NRV Rs. 25,000.
- A provision for bad debts is to be raised at 5% on Trade Receivables
- Interest on loan is due at 6% p.a.
- During the period Burhan and Bilal withdrew Rs 5,000 and Rs 3,000 respectively.

Solution

Ascertainment of Net Assets as on December 31, 20X2 Statement of Affairs

Assets	Rs	Rs	Liabilities	Rs	Rs
Plant & Machinery	50,000		Loan from Bilal	25,000	
Less: Depreciation	- 4,000	46,000	Add: Interest due	+ 1,500	26,500
Inventory	30,000		Trade Payables		25,000
Less: written-down	- 5,000	25,000	Owners' Equity		
Trade Receivables	40,000		(Balancing figure)		87,500
Less: Provision	- 2,000	38,000			
Other Receivable		5,000			
Cash at bank		25,000			
		139,000			139,000

Steps to follow

- Ascertain opening and closing balances of Net Assets / Owners' Equity
- Ascertain Profit for the year
- Prepares partners' current account
- Prepare Balance Sheet

Topic 188 – Accounting for Incomplete Records – Practice (Part B)

Practice Question

Burhan and Bilal are partners in **Sample Developers** sharing profits and losses in the ratio of 3:2. They do not keep proper books of accounts. On 31 December, 20X1, the following Statement of Affairs was extracted from their record:

Assets	Rs	Liabilities	Rs
Plant & Machinery	30,000	Loan from Bilal	25,000
Inventories	20,000	Trade Payables	30,000
Trade Receivables	35,000	Owners' Equity	45,000
Cash at Bank	15,000	Burhan	25,000
		Bilal	20,000
	100,000		100,000

Practice Question – cont.....

On 31st December, 20X2, their assets and liabilities were:

Plant & Machinery Rs 50,000; Trade Receivables Rs 40,000; Inventories Rs 30,000; Other Receivables Rs 5,000; Cash at Bank Rs 25,000; Trade Payables Rs 25,000; Loan from Bilal Rs 25,000. Prepare a Statement of Profit or Loss for the year ended 31st December, 20X2 and Balance Sheet on that date after taking into consideration the following facts:

- Plant and machinery is to be depreciated by Rs. 4,000.
- Inventories are to be reduced at NRV Rs. 25,000.
- A provision for bad debts is to be raised at 5% on Trade Receivables
- Interest on loan is due at 6% p.a.
- During the period Burhan and Bilal withdrew Rs 5,000 and Rs 3,000 respectively.

Solution

Ascertainment of Net Assets as on December 31, 20X2
Statement of Affairs

Assets	Rs	Rs	Liabilities	Rs	Rs
Plant & Machinery	50,000		Loan from Bilal	25,000	
Less: Depreciation	- 4,000	46,000	Add: Interest due	+ 1,500	26,500
Inventory	30,000		Trade Payables		25,000
Less: written-down	- 5,000	25,000	Owners' Equity		
Trade Receivables	40,000		(Balancing figure)		87,500
Less: Provision	- 2,000	38,000			
Other Receivable		5,000			
Cash at bank		25,000			
		139,000			139,000

Solution

Ascertainment Profit for the year ended December 31, 20X2
Statement of Profit or Loss

	Rs	Rs
Owners' Equity / Net Assets on 31 Dec 20X2		87,500
Owners' Equity / Net Assets on 31 Dec 20X1		- 45,000
Less Fresh capital introduced during the year 20X2		0
Add Drawings (Burhan and Bilal) during the year 20X2		+ 8,000
Profit for the year		50,500
Burhan's share in profits (50,500 x 3/5)	30,300	
Bilal's share in profits (50,500 x 2/5)	20,200	

Solution

Statement of Partners' Current Accounts
for the Year December 31 20X2

	Burhan Rs.	Bilal Rs.
Owners' Equity / Net Assets on 31 Dec 20X1	25,000	20,000
Profit for the year	30,300	20,200
Drawings (Burhan and Bilal) during the year 20X2	- 5,000	- 3,000
Owners' Equity / Net Assets on 31 Dec 20X2	50,300	37,200

Solution

Statement of Financial Position
As on December 31, 20X2

Assets	Rs	Rs	Liabilities	Rs	Rs
Non Current Assets			Owners' Equity		
Plant & Machinery	50,000	46,000	Burhan	50,300	
Less: Depreciation	- 4,000		Bilal	37,200	87,500
Current Assets			Non Current Liabilities		
Inventory	30,000	25,000	Loan from Bilal	25,000	
Less: written-down	- 5,000		Add: Interest due	+ 1,500	26,500
Trade Receivables	40,000	38,000	Current Liabilities		
Less: Provision	- 2,000		Trade Payables		25,000
Other Receivable		5,000			
Cash at bank		25,000			
		139,000			139,000

Treatment of year-end adjustments

Year-end adjustments are accounted for in the statement of profit or loss, rather these are taken into account for ascertaining closing balances of assets and liabilities only.

Topic 189 – Conversion of Single Entry into Double Entry

Medium Size Entities

- Sizeable business
- Sole or partnership
- Availability of resources
- Cash and Credit transactions
- Maintain bank account
- Different rolls are assigned to certain personnel

Accounting Needs

- Financial Performance
- Financial Position
- Statement of Cash Flows
- Taxation requirements

Accounting System

- a) Cash and Bank Book
- b) Trade Receivables Ledger
- c) Trade Payables Ledger
- d) Statement of Affairs (Op.)
- e) Year-end adjustments:
 - Inventory count
 - Depreciation policy
 - Provision for doubtful debts
 - Accruals & prepayments

Topic 190 – Conversion Mapping Income Statement with source documents

Preparing Income Statement

Income Statement (SOPL) can be prepared with the help of a set of incomplete records.

Mapping is important from students' point of view.

Income Statement	Source	Income Statement	Source
Sales		Operating expenses	
Cash sales	<u>Cash book receipt side</u>	Cash based expense	<u>Cash book payment side</u>
Credit sales	<u>Trade receivable Dr. side</u>	± Accrued & Prepaid	<u>SOA op. & Year-end adj.</u>
Cost of goods sold		Receivable based exp.	<u>Trade receivable account</u>
Opening inventory	<u>Opening SOA</u>	± Provisions	<u>SOA op. & Year-end adj.</u>
Purchases		Fixed asset based exp.	<u>Year-end adjustment</u>
Cash purchases	<u>Cash book payment side</u>	Depreciation	<u>SOA op & Year-end adj.</u>
Credit purchases	<u>Trade payable Cr. side</u>	Loss on disposal	
Closing inventory	<u>Year end adjustment</u>	Profit from operations	
Gross Profit			

Income Statement	Source
Other income	
Cash based income	<u>Cash book receipt side</u>
Accrued/unearned ±	<u>SOA op/Year-end adj.</u>
Discount Received	<u>Trade payable account</u>
Gain on disposal	<u>SOA op/Year-end adj.</u>
Profit for the year	

Topic 191 – Conversion – Mapping Balance Sheet with source documents

Preparing Balance Sheet

Balance Sheet (SOFP) can be prepared with the help of a set of incomplete records. Mapping is important from students' point of view.

Balance Sheet	Source	Balance Sheet	Source
Noncurrent Assets		Owners' Equity	
Fixed assets op bal.	<u>Opening SOA</u>	Opening balance	<u>Opening SOA</u>
Fixed assets addition	<u>Cashbook payment</u>	Fresh capital	<u>Cashbook receipts side</u>
Fixed assets disposal	<u>Year end adj & cashbook</u>	Profit for the year	<u>Income statement</u>
Accumulated Dep.	<u>Op SOA & Year end adj.</u>	Drawings	<u>Cashbook payment & Adj</u>
Investment op bal.	<u>Opening SOA</u>	Noncurrent Liabilities	
<u>Investments</u> addition	<u>Cash book payment side</u>	Opening balance	<u>Opening SOA</u>
<u>Investments</u> disposal	<u>Year end adj & cashbook</u>	Further loan taken	<u>Cashbook receipts side</u>
Current Assets		Loan repayment	<u>Cashbook payment side</u>
Inventories	<u>Year end adjustment</u>	Current Liabilities	
Trade Receivables	<u>Trade receivable account</u>	Trade payables	<u>Trade payable account</u>
Prepaid expenses	<u>Year end adjustment</u>	Accrued expense	<u>Year end adjustment</u>
Accrued incomes	<u>Year end adjustment</u>	Unearned income	<u>Year end adjustment</u>
Bank and Cash	<u>Cashbook cash & bank</u>	Bank overdraft	<u>Cashbook (bank column)</u>
Total Resources		Total Claims	

Balance Sheet

Closing balance of all assets and liabilities can be worked out from:

1. Opening SOA
2. Cash book (Cash & Bank)
3. Trade Receivables
4. Trade Payables
5. Year-end Adjustments

Topic 192 – Source Record for Mapping

Source Record

- Cash and Bank Book
- Trade Receivables Ledger
- Trade Payables Ledger
- Statement of Affairs (Op.)
- Year-end adjustments:
 - Inventory count
 - Depreciation policy
 - Provision for doubtful debts
 - Accruals & prepayments

Quick Revision of Dr. & Cr. Rules

Debit (Dr) group			
Assets	→	Increase	→ Dr.
Expenses	→	Decrease	→ Cr.
Credit (Cr) group			
Owner's equity	→	Increase	→ Cr.
Liability	→	Decrease	→ Dr.
Income	→		

Cash Book

Receipts	Amount	Payment	Amount
Opening balance	xxx	All payments either relating to capital or revenue payments	xxx
All receipts either relating to capital or revenue receipts	xxx	Closing balance	xxx
	xxx		xxx

Trade Receivable

Debit	Amount	Credit	Amount
Opening balance b/f	xxx	Cash received from debtors	xxx
Credit sales	xxx	Discount allowed	xxx
		Bad debts	xxx
		Sales return	xxx
		Closing balance c/f	xxx
	xxx		xxx

Trade Payable

Debit	Amount	Credit	Amount
Cash paid to creditors	xxx	Opening balance b/f	xxx
Discount received	xxx	Credit purchase	xxx
Purchase return	xxx		
Closing balance c/f	xxx		
	xxx		xxx

Opening Statement of Affairs

It consists with previous' year "Balance Sheet" items

Assets	Amount (Rs)	Liabilities	Amount (Rs)
Furniture & Fixture	xxx	Loans taken	xxx
Equipments	xxx	Trade payables	xxx
Inventories	xxx	Payable expenses	xxx
Trade receivables	xxx	Owner's equity/Net Assets (Balancing figure)	xxx
Prepaid expenses	xxx		
Bank balance	xxx		
Cash in hand	xxx		
	xxx		xxx

Year End Adjustments

- Inventory count
- Depreciation policy
- Provision for doubtful debts
- Accruals & prepayments

It may include certain other adjustments to reflect changes in amounts from previous year

Topic 193 – Conversion into Double entry Practice – Question (Part A)

Practice Question

Sample Departmental Store does not follow double entry bookkeeping. Its accountant provides following records for the year ending on 31st December 20X2:

1. Statement of Affairs 1-1-20X1
2. Cash book (Two Column)
3. Trade Receivables
4. Trade Payables

Statement of Affairs 1 st January 20X2	
Assets	Rs.
Fixtures	800
Current Assets	
Inventories	1,590
Trade Receivable	1,100
Bank	1,130
Cash	80
Total Assets	4,700
Less liabilities	
Trade Payable	- 400
Net Assets/Owner's Equity	4,300

Cash Book					
Receipts	Cash Rs.	Bank Rs.	Payments	Cash Rs.	Bank Rs.
Opening balance b/f	80	1,130	Supplier (Payment to creditors)	0	7,200
Receipts from debtors	0	9,500	Rent	50	200
Cash sales	500		General expenses	0	180
			Drawings	520	0
			Closing balance c/f	10	3,050
	580	10,630		580	10,630

Trade Receivables Account			
	Rs.		Rs.
Opening balance b/f	1,100	Cash received from debtors	9,500
Credit sales	9,720	Closing balance c/f	1,320
	10,820		10,820

Trade Payables Account			
	Rs.		Rs.
Cash paid to creditors	7,200	Opening balance b/f	400
Closing balance	650	Credit Purchase	7,450
	7,850		

Year End Adjustments

31st December 20X2

- Closing Inventory Rs. 1,700
- Rent owing Rs. 50
- Depreciation on fixture 10% pa.

Prepare Income statement for the year ended 31st December 20X2 and Balance Sheet as on that date.

Topic 194 – Conversion into Double entry Practice – Answer (Part B)

Answer

Sample Departmental Store Income Statement For the Year ended 31 st December 20X2			
	Rs.	Rs.	
Sales			
Credit sales	9,720		
Cash sales	<u>500</u>	10,220	
Cost of goods sold			
Opening inventory	1,590		
Add purchases	7,450		
Less closing inventory	<u>1,700</u>	<u>- 7,340</u>	
Gross profit		2,880	
Operating expenses			
Rent	300		
General expenses	180		
Depreciation fixture	<u>80</u>	<u>560</u>	
Profit for the year		<u>2,320</u>	

Sample Departmental Store Income Statement Working Notes	
<u>Note 1</u>	Rs.
Rent expense (cash 50 + Bank 200 + Due 50)	300
<u>Note 2</u>	
Depreciation fixture (800 x 10%)	80

Sample Departmental Store Balance Sheet As on 31 st December 20X2			
Assets	Amount Rs.	Owner's Equity & Liabilities	Amount Rs.
<u>Fixed Assets</u>		Owner's equity	4,300
Fixtures 800		Profit for the year	2,320
Depreciation <u>80</u>		Less drawings	<u>- 520</u>
	720		6,100
<u>Current Assets</u>		<u>Liabilities</u>	
Closing inventory	1,700	Trade payables	650
Trade receivable	1,320	Rent Due	<u>50</u>
Bank	3,050		700
Cash	10		
	6,800		6,800

Outcome of Conversion

End result of double entry accounting system is to extract a trial balance and preparation of financial statements.

Whereas, when conversion is worked out from single entry to double entry then trial balance is not extracted else the end result is same.

Topic 195 – Conversion into Double entry – Missing Information

Missing Information

In some questions all the sufficient information is not provided that is needful to convert single entry into double entry.

For example; credit sales could be missing despite the fact that cash was received from credit customers during the reporting period.

Tracing Missing Information

Finding out the reciprocal Dr. or Cr. effect in the set of five source records.

1. Cash and Bank Book
2. Trade Receivables Ledger
3. Trade Payables Ledger
4. Statement of Affairs (Op.)
5. Year-end adjustments

Cash Book				Trade Receivable			
Receipts	Amount	Payment	Amount	Debit	Amount	Credit	Amount
Opening balance	xxx	All payments either relating to capital or revenue payments	xxx	Opening balance b/f	xxx	Cash received from debtors	xxx
All receipts either relating to capital or revenue receipts	xxx			Credit sales	xxx	Discount allowed	xxx
						Bad debts	xxx
		Closing balance	xxx			Sales return	xxx
	xxx		xxx		xxx	Closing balance c/f	xxx
							xxx

Trade Payable				Opening Statement of Affairs			
Debit	Amount	Credit	Amount	It consists with previous' year "Balance Sheet" items			
Cash paid to creditors	xxx	Opening balance b/f	xxx	Assets	Amount (Rs)	Liabilities	Amount (Rs)
Discount received	xxx	Credit purchase	xxx	Furniture & Fixture	xxx	Loans taken	xxx
Purchase return	xxx			Equipments	xxx	Trade payables	xxx
Closing balance c/f	xxx			Inventories	xxx	Payable expenses	xxx
	xxx		xxx	Trade receivables	xxx	Owner's equity/Net Assets (Balancing figure)	xxx
				Prepaid expenses	xxx		
				Bank balance	xxx		
				Cash in hand	xxx		
					xxx		xxx

Year End Adjustments

- Markup and Margin
- Inventory count
- Depreciation policy
- Provision for doubtful debts
- Accruals & prepayments

Topic 196 – Conversion into Double entry – Markup and Margin

Markup

It is the % age of gross profit over cost of goods sold.

$$\frac{\text{Gross profit}}{\text{Cost of goods sold}} \times 100 = \%$$

Sales	125%
Cost of Sales	100%
Gross Profit	25%
$\frac{160,000}{640,000} \times 100 = 25\%$	

Margin

It is the % age of gross profit over Sales.

$$\frac{\text{Gross profit}}{\text{Sales}} \times 100 = \%$$

		Rs.
Sales	100%	800,000
Cost of Sales	80%	640,000
Gross Profit	25%	160,000
$\frac{160,000}{800,000} \times 100 = 20\%$		

Use of Markup and Margin

In some questions the missing information is traced by applying markup or margin ratios.

For example:

- Sales
- Cost of sales
- Gross profit

Topic 197 – Conversion into Double entry – Use of Markup Ratio

Scenario 1

Goods are sold at 15% profit on cost. The selling price is Rs. 34,500. Calculate gross profit.

$$\frac{\text{Gross profit}}{\text{Cost of goods sold}} \times 100 = \%$$

		Rs.
Sales	115%	34,500
Cost of Sales	100%	?
Gross Profit	15%	?
$\frac{34,500}{115} \times 15 = 4,500$		

Rule of Thumb

- Base information is always equal to 100%.
- Information provided in absolute form is divided by its own % age and multiplied by the % age of required information.

Scenario 2

Goods are sold at 25% profit on cost. If the gross profit is Rs. 75,000. Calculate the amount of Sales.

$$\frac{\text{Gross profit}}{\text{Cost of goods sold}} \times 100 = \%$$

		Rs.
Sales	125%	?
Cost of Sales	100%	?
Gross Profit	25%	75,000
$\frac{75,000}{25} \times 125 = 375,000$		

Scenario 3

Goods are sold at 40% markup. If the gross profit is Rs. 120,000. Calculate the amount of Cost of Sales.

$$\frac{\text{Gross profit}}{\text{Cost of goods sold}} \times 100 = \%$$

		Rs.
Sales	140%	?
Cost of Sales	100%	?
Gross Profit	40%	120,000
$\frac{120,000}{40} \times 100 = 300,000$		

Learning outcome

1. Construct suitable % age structure.
2. Place information given in absolute form in front of its % age.
3. Divide the given information with its own % age.
4. Multiply the product with the % age of required information.

Topic 198 – Conversion into Double entry – Use of Margin Ratio

Scenario 1

Goods are sold at 35% profit on sales. The cost of goods sold is Rs. 260,000. Calculate gross profit.

$$\frac{\text{Gross profit}}{\text{Sales}} \times 100 = \%$$

		Rs.
Sales	100%	?
Cost of Sales	65%	260,000
Gross Profit	35%	?

$$\frac{260,000}{65} \times 35 = 140,000$$

Rule of Thumb

- Base information is always equal to 100%.
- Information provided in absolute form is divided by its own % age and multiplied by the % age of required information.

Scenario 2

Goods are sold at 25% profit on sales. If the gross profit is Rs. 80,000. Calculate the amount of Sales.

$$\frac{\text{Gross profit}}{\text{Sales}} \times 100 = \%$$

		Rs.
Sales	100%	?
Cost of Sales	75%	?
Gross Profit	25%	80,000

$$\frac{80,000}{25} \times 100 = 320,000$$

Scenario 3

Goods are sold at 40% margin. If the gross profit is Rs. 120,000. Calculate the amount of Cost of Sales.

$$\frac{\text{Gross profit}}{\text{Sales}} \times 100 = \%$$

		Rs.
Sales	100%	?
Cost of Sales	60%	?
Gross Profit	40%	120,000

$$\frac{120,000}{40} \times 60 = 180,000$$

Learning outcome

1. Construct suitable % age structure.
2. Place information given in absolute form in front of its % age.
3. Divide the given information with its own % age.
4. Multiply the product with the % age of required information.

Topic 199 – Conversion of Margin Ratio into Markup Ratio

Scenario

Sample Co. follows the policy to sell goods at 25% margin. Calculate its markup rate.

	Margin	Markup
Sales	100%	?
Cost of Sales	75%	100%
Gross Profit	25%	?
Markup rate	$\frac{100}{75} \times 25 = 33.33\%$	
Sales rate	$\frac{100}{75} \times 100 = 133.33\%$	

Scenario

Sample Co. follows the policy to sell goods at 25% margin. Calculate its markup rate.

	Margin	Markup
Sales	100%	?
Cost of Sales	75%	100%
Gross Profit	25%	?

Alternatively

$$\text{Markup rate} = \frac{25}{75} \times 100 = 33.33\%$$

Remember

Gross profit = 1/4 th	=	25%
Gross profit = 1/5 th	=	20%
Gross profit = 1/3 rd	=	33.33%
Gross profit = 1/2	=	50%

Chapter – 16

Accounting for Non-Profit Organization

Sr. No	Chapter outline - Topics
201	Accounting for Non-Profit Organization
202	Accounting System for Small NPOs
203	Accounting System for Medium NPOs
204	Income and Expenditure Account
205	Incomes of NPO (Subscription)
206	Incomes of NPO (Membership fee) Practice
207	Incomes and expenditure account practice part-A (Question)
208	Incomes and expenditure account practice part-B (Answer)
209	Incomes and expenditure account practice part-C (Answer)
210	Incomes and expenditure account Large NPO part-A (Question)
211	Incomes and expenditure account Large NPO part-B (Answer)
212	Incomes and expenditure account Large NPO part-C (Answer)

Topic Videos 201-212 are mandatory part of this chapter

Topic 200 – Conversion of Markup Ratio into Margin Ratio

Scenario

Sample Co. follows the policy to sell goods at 25% markup. Calculate its margin rate.

	Margin	Markup
Sales	125%	100%
Cost of Sales	100%	?
Gross Profit	25%	?

$$\text{Margin rate } \frac{100}{125} \times 25 = 20\%$$

$$\text{Cost of Sales rate } \frac{100}{125} \times 100 = 80\%$$

Scenario

Sample Co. follows the policy to sell goods at 25% markup. Calculate its margin rate.

	Margin	Markup
Sales	125%	100%
Cost of Sales	100%	?
Gross Profit	25%	?

Alternatively

$$\text{Margin rate } \frac{25}{125} \times 100 = 20\%$$

Remember

In case of profit, the sales %age will always be greater than the cost %age.

$$125\text{ S} - 100\text{ C} = 25\text{ Profit}$$

$$100\text{ S} - 80\text{ C} = 20\text{ Profit}$$

In case of loss, the cost %age will always be greater than the sales %age.

$$100\text{ S} - 125\text{ C} = -25\text{ Loss}$$

$$80\text{ S} - 100\text{ C} = -20\text{ Loss}$$

Topic 201 – Accounting for Non-Profit Organizations

Not for Profit Organizations

Organizations that do not aim to earn profits rather to extend welfare services.
For example; Hospital, Clinic, Library, Masjid, Church, Sports Club, Social Work etc.

Accounting Phenomena

Regardless of the motive, NPOs enter into certain transactions for running its operations.
For example; staff salaries, utility bills, building rent etc.

Source of Income

NPOs generate income from charities, donations, subscriptions, membership fee, registration fee, admission fee etc.

Commercial Activities

Few NPOs create a small business activity to generate funds for day-to-day operations.
For example; stationery shop in a Masjid, Juice shop in a Club, dispensary in a clinic etc.

Accounting System

Depending upon the size of organization, single entry or double entry accounting system is adopted to meet accounting and reporting needful.

Topic 201 – Accounting System for Small NPOs

Small NPOs

Normally NPOs are small in size and are not involved in complex transactions like trading and manufacturing activities.

Number of transactions are also very few in a month.

Accounting System

- Small NPOs
 - Single Entry
- Medium NPOs
 - Singly Entry / Double Entry
- Large NPOs
 - Double Entry

Receipt & Payment Account

NPOs maintain a simple cash book in chronological sequence.

On reporting date, a summary is prepared for all the receipts and payments made under different heads, such summary is known as “**Receipt and Payment Account**”.

Memorandum Record

NPOs having a large number of members maintain a memorandum record of members. Where the NPO is providing free medicines or providing library facilities or running a sports club then it will also be maintaining memorandum record for the inventory items.

Topic 203 – Accounting System for Medium NPOs

Medium Size NPO

NPOs that grow in size and expand their operations enter into numerous transactions, have assets in their control and might have some obligations.

Accounting System

Conversion of single entry into double entry

- Cash book
- Receipt and payment account
- Year-end adjustments

Financial Statements

- Income and Expenditure Account
- Balance Sheet

Financial Statements

- Income and Expenditure Account (*replacement of SOPL*)
- Balance Sheet (*same SOFP*)

Topic 204 – Income and Expenditure Account

Accrual Basis

Income and Expenditure account is prepared on accrual basis.

All incomes and expenses are passed through the filter of accruals, means adjusted for opening and closing balances of owing and prepayments.

Incomes of NPO

Incomes of a non-profit organization mainly include:

- Subscription
- Donation
- Entrance fee
- Lockers rent
- Membership fee etc.

Subscription Income on accrual basis

Sample Library received Rs. 55,000 as subscription during the year ending on 31 Dec 20X1. Few members did not pay subscription that is still due Rs 5,000 whereas, few members paid their subscription in advance for the year 20X2 Rs. 2,000.

Subscription Income	Rupees
Received during the year	55,000
Subscription due on closing date	+ 5,000
Subscription advance on closing date	<u>- 2,000</u>
Subscription income for the year 20X1	<u>58,000</u>

Expenses of NPO

Payments for revenue expenditures appearing in the Cash Book (Receipt and Payment Account) are adjusted with the opening and closing balances of owing and prepaid to get the amount of expense.

Depreciation of fixed asset is worked out to account for in the Income and Expenditure account.

Expenses of NPO	Rs.
Expenses paid DTY	***
Op advance	+ ***
Cl advance	- ***
Op owing	- ***
Cl owing	+ ***
Expenses FTY	<u>***</u>

Incomes of NPO	Rs.
Income received DTY	***
Op advance	+ ***
Cl advance	- ***
Op owing	- ***
Cl owing	+ ***
Income FTY	<u>***</u>

Topic 205 – Incomes of NPO – Practice Subscription Account

Practice Question

Below is the information pertaining to subscription income of Sample Club for the year 20X2.

Subscription received during the year 20X2	Rs. 12,000
Subscription received in advance for 20X3	Rs. 1,600
Subscription outstanding at the beginning of 20X2	Rs. 2,000
Subscription outstanding at the closing 20X2	Rs. 700

Calculate the amount of subscription income for the year 20X2.

Practice Question (Same information asked in different way)

Below is the information pertaining to subscription income of Sample Club for the year 20X2.

Subscription received during the year – for 20X2	Rs. 8,400
Subscription received during the year – for 20X3	Rs. 1,600
Subscription received during the year – for 20X1	Rs. 2,000
Subscription received in previous year – for 20X2	Rs. 1,000
Subscription due/owing at the end of year 20X2	Rs. 1,700

Calculate the amount of subscription income for the year 20X2.

Answer

Subscription Received during the year 20X2	Rs. 12,000
Less Opening due	- 2,000
Less Closing advance	- 1,600
Add Closing due	+ 700
Income for the year 20X2	Rs. 9,100

Subscription Income Account

Date	Particulars	Rupees	Date	Particulars	Rupees
1 Jan 20X2	Opening due	2,000	DTY	Subscription received	12,000
31 Dec 20X2	Closing advance	1,600	31 Dec 20X2	Closing due	700
31 Dec 20X2	Income for the year	9,100			
		12,700			12,700

Measurement of Income

Focus on the income that belongs to the reporting period regardless of the amount received or not.

Topic 205 – Incomes of NPO – Practice Membership Fee Account

Practice Question

Following information relates to membership fee of Sample Club for the accounting year ending on 31 March 2002.

1. Cash received in the year totaled Rs. 100,000.
2. On 1 April 20X1; Rs. 2,000 was in arrears for 31 March 20X1 and Rs. 800 was received in advance for the year ending on 31 March 20X2.
3. On 31 March; received Rs. 1,500 towards the next year's fee and the amount still recoverable was Rs. 1,700.

Calculate "Membership Fee" for the year 20X2

Practice Question (Same information asked in different way)

Sample Club receives Rs. 1,000 annually from each member. Below is the information for the accounting year ending on 31 March 20X2.

1. Received membership fee from 100 members.
2. On 1 April 20X1; fee was due from 20 members and 8 members had already paid their fee in advance for the next year ending on 31 March 20X2.
3. On 31 March 20X2; received fee from 15 members towards the next year's fee and the amount of fee was still recoverable from 17 members.

Calculate "Membership Fee" for the year 20X2.

Answer

Membership fee received during the year	Rs. 100,000
Less Opening due	- 2,000
Add Closing due	+ 1,700
Add Opening advance	+ 800
Less Closing advance	- 1,500
Income for the year 20X2	Rs. 9,100

Membership Fee Income Account

Date	Particulars	Rs.	Date	Particulars	Rs.
1 Apr 20X1	Opening due	2,000	1 Apr 20X1	Opening advance	800
31 Mar 20X2	Closing advance	1,500	DTY	Fee received	100,000
31 Mar 20X2	Income for the year	9,100	31 Mar 20X2	Closing due	1,700
		12,700			12,700

Measurement of Income

Focus on the income that belongs to the reporting period regardless of the amount received or not.

Topic 207 – Income and Expenditure Account – Practice

Practice Question

Prepare Income & Expenditure Acct and Balance Sheet of Sample Health Club from the information provided for the year ending on 31/03/20X2.

On 1 April 20X1 the club assets and liabilities were: Furniture and Equipment Rs. 48,000; Restaurant stocks Rs. 2,600; Stock of prizes Rs. 800. Rs 5,200 was owing for restaurant supplies.

On 31 March 20X2 the restaurant Stock was Rs. 3,000 and stock of prizes was Rs. 500; the club owed Rs. 5,600 for restaurant supplies.

Subscription fee was found un-paid Rs. 1,000 on March 31, 20X2, and the amount of Rs. 29,720 shown in cash book included Rs. 700 in respect of previous year and Rs. 400 received in advance for the following year. Fixed assets are subject to 10% depreciation.

Practice Question – Cont.

Following Receipts & Payments Account was prepared by the treasurer of Sample Club.

Receipts	Rs.	Payment	Rs.
Cash in hand on 1 April 20X1	4,740	Wages-Outdoor staff	13,380
Member's subscription	29,720	Restaurant purchases	50,400
Entrance fee	3,200	Rent-18 months (June 30, 20X2)	7,500
Restaurant fee	56,800	Rates and taxes	2,200
Games competition receipts	13,640	Secretary salary	3,120
Dues to secretary for petty expenses	80	Lighting, cleaning & sanitary	7,700
		Competition prizes	4,000
		Printing, postage & sundries	6,000
		Fixed deposit in the bank	8,000
		Cash balance on 31 March 20X2	5,880
	108,180		108,180

How to Solve

- Prepare opening Statement of Affairs
- Prepare trading account for commercial activities
- Pass revenue nature of receipts and payments through the filter of accruals
- Calculate depreciation
- Prepare Income and Expenditure Account
- Prepare Balance Sheet

Topic 208 – Income and Expenditure Account – Practice (Answer)

Statement of Affairs
As on 1st April 20X1

Assets	Rs	Liabilities	Rs
Furniture & Equipment	48,000	Restaurant Creditors	5,200
Inventory Prizes	800	Capital Fund	
Inventory Restaurant	2,600	(Balancing figure)	51,640
Subscription owing	700		
Cash at bank	4,740		
	56,840		56,840

Restaurant Creditors Account				Restaurant Trading Account	
Debit	Rs	Credit	Rs		Rs.
Cash paid	50,400	Op Bal b/f	5,200	Sales	56,800
Cl Bal c/f	5,600	Purchases	50800	Cost of Sales	
	56,000		56,000	Opening Inventory	2,600
				Purchases	50,800
				Closing Inventory	3,000 <u>50,400</u>
				Restaurant Profit	6,400

Commercial Activities

- There may be more than one commercial activities in an NPO.
- Separate trading account will be prepared for each commercial activity.

Topic 209 – Income and Expenditure Account – Practice (Answer)

Sample Health Club
Income and Expenditure Statement
Rs.

Incomes

Subscription Fee		
Received	29,720	
Opening Due	- 700	
Closing Due	1,000	
Closing Advance	<u>- 400</u>	29,620
Entrance Fee		3,200
Games Competition		13,720
Restaurant Profit		<u>6,400</u>
Total		<u>52,940</u>

Expenditures

Salaries and Wages		16,500
Rent 18 months	7,500	
Prepaid 6 months	<u>- 2,500</u>	5,000
Rates and taxes		2,200
Lighting and cleaning		7,700
Printing and postage		6,000
Competition prizes		
Purchases	4,000	
Opening Stock	800	
Closing Stock	<u>- 500</u>	4,300
Depreciation		4,800
Surplus (Balancing figure)		<u>6,440</u>
Total		<u>52,940</u>

Sample Health Club
Balance Sheet
As on 31st March 20X2

Assets	Rs	Liabilities	Rs
Furniture & Equipment	48,000	Capital Fund	51,640
Less Depreciation	<u>- 4,800</u>	Surplus	<u>6,440</u>
	43,200		58,080
Fixed Deposit	8,000	Restaurant Creditors	5,600
Inventory Prizes	500	Subscription advance	400
Inventory Restaurant	3,000		
Subscription owing	1,000		
Prepaid rent	2,500		
Cash at bank	5,880		
	64,080		64,080

Topic 210 – Income and Expenditure Account – Large NPO – Practice

Accounting System

Large NPOs follow double entry accounting system and proper books of accounts are maintained there. Examination question provides a trial balance to prepare financial statements.

Sample Welfare Society – Trail Balance – For the Year 30 June 20X2					
	Dr.	Cr.		Dr.	Cr.
	Rupees	Rupees		Rupees	Rupees
General fund		30,000	Salaries & Wages	5,800	
Cash in hand	2,000		Extension of building	10,000	
Cash at bank	3,000		Printing & Stationary	1,000	
Entrance fee receivable	2,400		Legal charges	500	
Accrued expenses		1,500	Annual subscription		30,000
Loan @ 15% (1-10-20X1)		20,000	Card & Billiard room receipts		4,000
Furniture & Fixture	10,000		Sundry expenses	1,600	
Building	40,000		Cold drink sales		5,000
Opening stock cold drink	500		Repair of building and furniture	400	
Rent	6,000		Utility expenses	1,000	
Rate, Taxes & Insurance	600		Purchase of cold drink	4,000	
Secretary Honorarium	1,200		Interest on Loan	1,000	
Entrance fee	1,000		Total	92,000	92,000
Subscription received in advance		1,500			

Additional Information

1. Subscription for the year end outstanding Rs. 2,000
2. Write off depreciation @10% per annum on furniture and 2% on building including the extension.
3. Stock of cold drinks Rs. 1,000

Topic 211 – Income and Expenditure Account – Large NPO – Practice (Answer)

Sample Welfare Society

Income and Expenditure Account – For the Year Ended 30 June 20X2

Expenditure	Rs.	Income	Rs.
Rent	6,000	Subscriptions	30,000
Rates, taxes & insurance	600	Add: Outstanding	<u>2,000</u>
Secretary's honorarium	1,200	Card & Billiard Room Receipts	4,000
Entrance fees	1,000	Cold Drinks Sales	5,000
Salaries & wages	5,800	Cold Drink Purchase	4,000
Printing and Stationary	1,000	Cold Drink opening stock	500
Legal charges	500	Cold Drink closing stock	<u>1,000</u> <u>3,500</u>
Sundry expenses	1,600	Cold Drink Profits	1,500
Repairs to building and furniture	400		
Utility Bills	1,000		
interest on loan	1,000		
Add: Outstanding	<u>1,250</u>		
Depreciation	2,000		
Excess of income over Expenditure (Surplus)	14,150		
Total	37,500	Total	37,500

Important

Take care of the accounting for accruals that has already been done and appearing in the trial balance.

Topic 212 – Income and Expenditure Account – Large NPO – Practice (Answer)

**Sample Welfare Society
Balance Sheet – As on 30 June 20X2**

Assets	Rs.	Capital Fund and Liabilities	Rs.
Club House 40,000		Capital Fund 30,000	
Add: Extension 10,000		Add: Surplus <u>14,150</u>	44,150
Less: Depreciation <u>- 1,000</u>	49,000		
Furniture & Fixture 10,000		15% Loan 20,000	
Less: Depreciation <u>- 1,000</u>	9,000	Interest on loan (Outstanding) 1,250	
Stock in hand Cold Drink 1,000		Subscriptions received in advance 1,500	
Entrance fee receivable 2,400		Accrued expenses 1,500	
Subscription due 2,000			
Cash at Bank 3,000			
Cash in hand 2,000			
Total 68,400		Total 68,400	

Double Entry Accounting

Large NPOs follow double entry accounting system.